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NORTH AMERICA INSIGHT

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US Credit Strategy, Banks, and Asset Managers Research

Connecting the Dots Around Private Credit

Private credit is likely entering a sector-concentrated default cycle, centered on software, with sub-par returns and sluggish AUM growth, driven by retail redemptions. However, systemic risks remain low, banks are well insulated, and institutional investor demand is likely to be stable.

Key Takeaways

- We see above-average annual defaults of ~8% in private credit (PC), and 5.5% in broadly syndicated loans (BSL) from 2H26 through 1H27, centered on software & skewed to distressed exchanges.
- Elevated software exposure, uncertainty around the timing/intensity of AI disruption, and compressed yields could cause private credit to see subpar returns & muted AUM growth into 2027.
- We think systemic risks are contained. PC has grown in recent years, but leverage in system is low. Ex software, refinancing concerns are more benign.
- Banks are well insulated with private credit exposure low at 3% of loans and several safeguards built into loan structures.
- Alts face redemption pressure in retail PC funds, but challenges look cyclical & gates protect investors. Retail rotation is an opportunity for diversified Alts.

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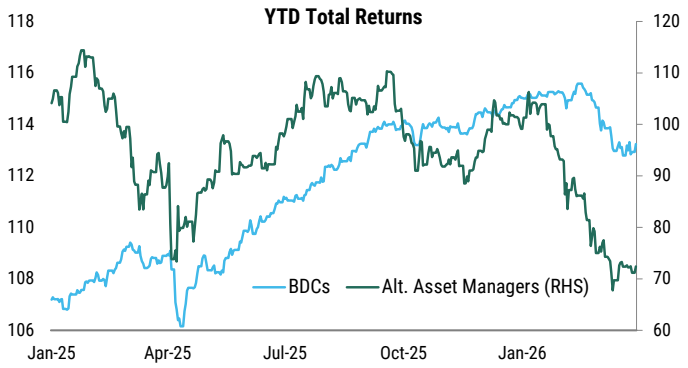
Assessing Risks in and from Private Credit

Investor focus on vulnerabilities in private credit has increased driven by AI-disruption concerns for the software sector, underperformance of public BDC equity, and the announcement of limits on redemption by large private semi-liquid vehicles (private BDCs and private credit funds). While initial focus was on the sectoral effects of AI disruption on software, concerns have now broadened out to the health of the overall ecosystem, including the possibility of spillover to risk assets broadly, and/or the economy.

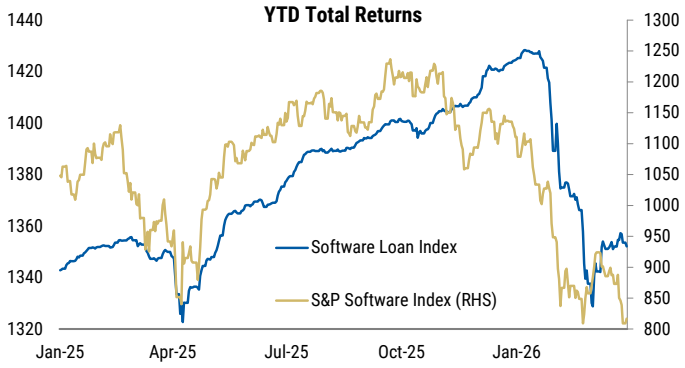
We have discussed our thoughts on these developments across several recent research reports (see Mapping Software Exposure Across Leveraged Credit, Sunday Start, Podcast: The Impact of Software Exposure on Private Credit). **In a nutshell, we think risks in private credit are significant , and the asset class is likely to go through a default cycle, while AUM growth is sluggish, and returns are sub-par in the medium term.**

Exhibit 1: Public BDC and Alternative Asset Managers YTD index returns



Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Software loan and equity YTD index total returns



Source: Bloomberg, Morgan Stanley Research

At the same time, we maintain a strong conviction that systemic concerns remain low. The size of the private credit (PC) market, associated leverage in financing vehicles, stabilizing mechanisms like limits on redemption, and lower refinancing concerns outside of software reinforce this view. From a macro lens, while PC is likely to see tighter lending conditions, this is more than counter-balanced by the fact that banks have more incentive to lend, with tailwinds from easing regulation around Leveraged Lending Guidelines and Basel 3 endgame. **In other words, the overall availability of credit should not shrink, but the providers of that credit will change (see Deregulation Reshaping Credit Markets).**

We acknowledge that the opacity in private credit, both on the asset and funding side, make it uniquely challenging to evaluate these risks relative to public markets. Further, the PC market in its current size has not really been through a credit cycle before, implying a lack of historical precedents to go by.

But systemic risks are separate from credit risks, and to evaluate the former, in this joint report with our equity research colleagues, we dig into many components of the private credit ecosystem, from asset quality, bank linkages, managing redemption risks, and fund leverage, among others.

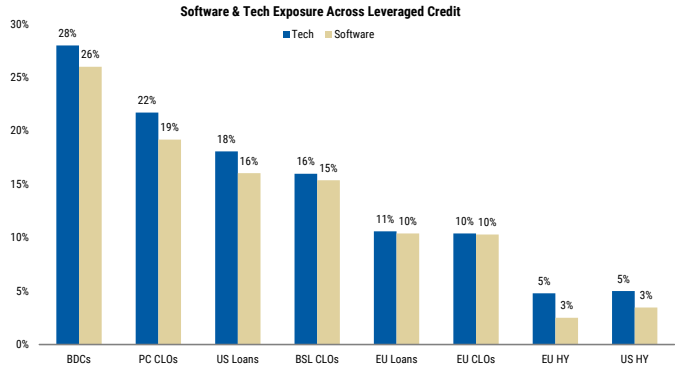
Software Exposure and Default Implications for Private Credit and Broadly Syndicated Loans

Software exposure in loans and private credit is high with front-loaded maturities

As we stated in our note in February, the durability of software business models has come under greater scrutiny on the back of significant improvement in AI capabilities. **This software disruption concern is especially impactful in broadly syndicated loans (BSL) and private credit markets due to their outsized exposure to the sector.** As we show below, software makes up ~26% of BDC collateral, ~20% of private credit CLO collateral, and ~16% of the BSL universe. Software is either the largest or one of the largest sectors in these markets.

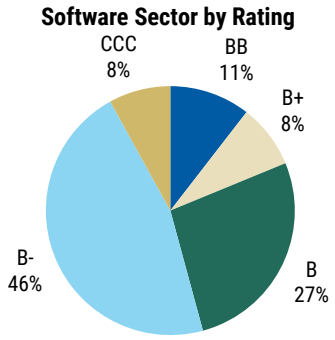
Our equity colleagues have established that while AI will be a major disrupter, it will not undercut the sector as a whole (see Software Gut Check - AI is Software). The team sees a path of innovation from GenAI emergence that actually looks relatively familiar to past advancements in Software — improving developer productivity, better tool use in automations, software value predicated on labor displacement. Ultimately AI expands what software can do, meaning the sector should grow overall, even as outcomes diverge across companies. **There will be "losers" who fail to keep up with innovation, but importantly, also highly successful "winners" who integrate AI into products and see significant growth.**

Exhibit 3: Software and tech exposure high across private credit and BSL



Source: PitchBook | LCD, Morningstar, S&P Global, ICE BofA, Morgan Stanley Research

Exhibit 4: 50%+ software loans are rated B- or lower



Source: Morningstar, Morgan Stanley Research

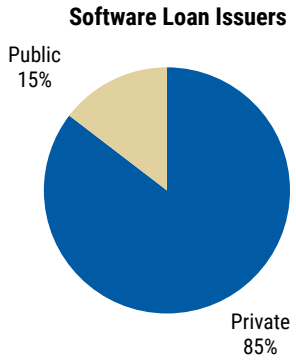
Further, the disruption may be less imminent than the current market narrative seems to imply. In our view, for the disruption to occur, the data center and rest of the digital infrastructure being in place is a necessary condition. As we have laid out elsewhere (see Bridging a $1.5tr Data Center Financing Gap), this will take time and substantial capex to make the disruption feasible. The timing of the disruption may be reflected coincident with the refinancing of the maturing debt — more on this in the next section.

So, we want to emphasize, that while we do see AI reshaping software competition,

not completely eliminating it, it is this interim uncertainty around which issuers emerge as winners versus losers that causes our concern for credit as borrowers face upcoming refinancing needs.

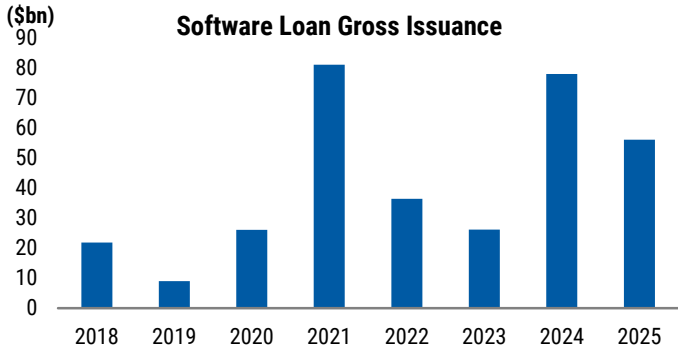
Importantly, unlike the public equity market, credit exposure to software is concentrated in smaller/early-stage private companies. More than 80% of the software borrowers in the loan market are private and roughly three-quarters are sponsor-backed. **The software sector expanded sharply, post-COVID, accounting for a large chunk of new LBO deals originated in the 2020-21 period.**

Exhibit 5: Software sector skewed to private/sponsor-backed Issuers



Source: Bloomberg, FactSet, S&P Capital IQ, Morgan Stanley Research

Exhibit 6: Software loans issuance peaked in 2021



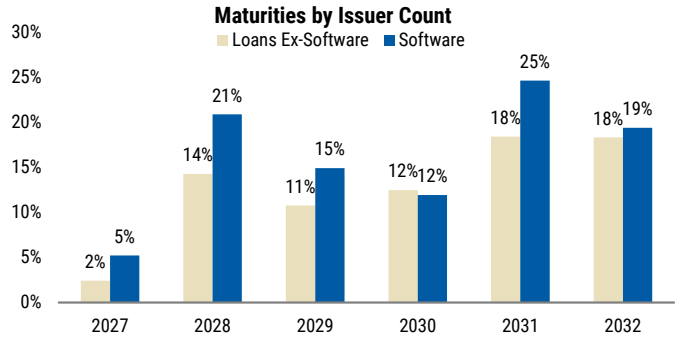
Source: Morningstar, Morgan Stanley Research

The software sector has worse credit metrics than other sectors — within the BSL market, more than 50% exposure in the sector to B- or lower-rated borrowers (see Exhibit 4). **So, the concern in credit is not just about the nature the AI disruption, but also debt sustainability.** Prolonged uncertainty on AI diffusion is likely to create headwinds around extending debt maturities. **In other words, refinancing risks might emerge before actual AI disruption of revenues for companies that exist in the private credit / leveraged loan ecosystem.** We think that as a result, defaults in both markets are set to rise over the coming years, centered on the software sector. We walk through our projections below.

We expect 5.5% defaults in loans and 8% in private credit, centered on software

To project BSL default rates going forward, we start by looking at software borrowers in BSL that are rated B- or lower, and have a maturity before YE 2028. **Out of 134 borrowers , we found that 19% met this criteria, increasing to 32% by YE2029. Within this cohort (of borrowers with maturities before 2028), about 55% currently have loans that are trading below $90, i.e., at stressed or distressed levels.**

Exhibit 7: The Software cohort has a more front-loaded maturity wall than other sectors



Source: Morningstar, Morgan Stanley Research

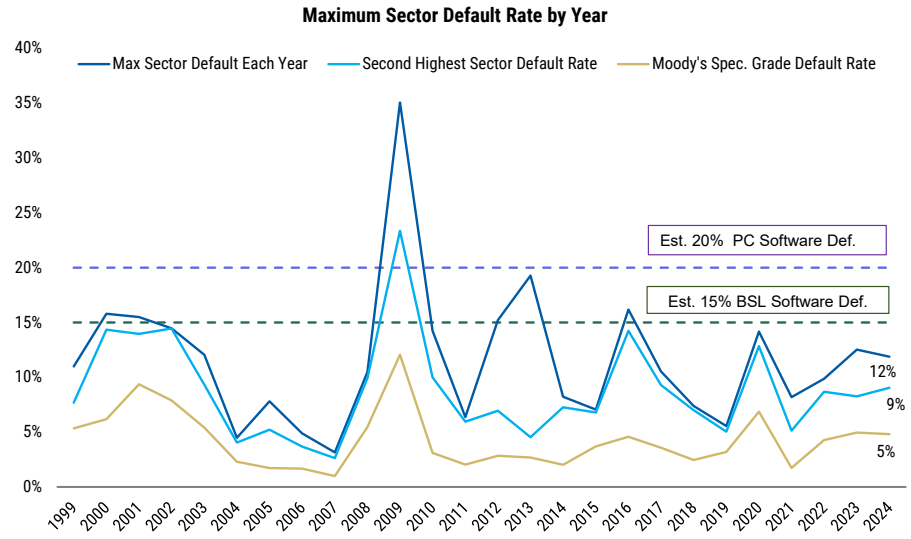
Exhibit 8: Low-quality borrowers with near-term maturities represent a significant portion of the sector

% of BSL Software Issuers that are B- or Lower Rated with Maturity by:	
1H 2028	13%
2H 2028	19%
1H 2029	27%
2H 2029	32%

Source: Morningstar, Morgan Stanley Research

If we further assume that uncertainty around AI disruption persists at least for another 6-12 months, this is the cohort of software borrowers (with a 2028 or earlier maturity) that are vulnerable to refinancing risks, as loans start to enter the critical refinancing window of sub-18M. We assume that names with maturities beyond this horizon are relatively immune, and have enough runway.

Exhibit 9: We estimate the software sector BSL default rate to reach 15%, falling near maximum sector default rates (in blue) in stressed years like 2000, 2016 and 2023



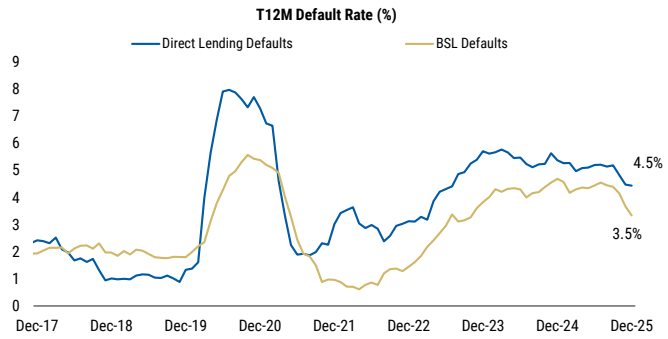
Source: Moody's, Morgan Stanley Research

Overall, given the numbers above (Exhibit 8), we think a potential 15% default rate within the sector is possible as access to capital for the weakest cohorts remains constrained. For context, this number lines up with some of the highest sectoral default rates observed in stressed periods like 2000, 2009, or 2016 (see Exhibit 9).

If software was the only driver of higher defaults, **we estimate that the overall leveraged loan index default rates would rise to approximately ~5.2%.** This reflects software's 16% weighting in the index, alongside our assumption that the remainder of the market maintains default rates around the current ~3.5% level.

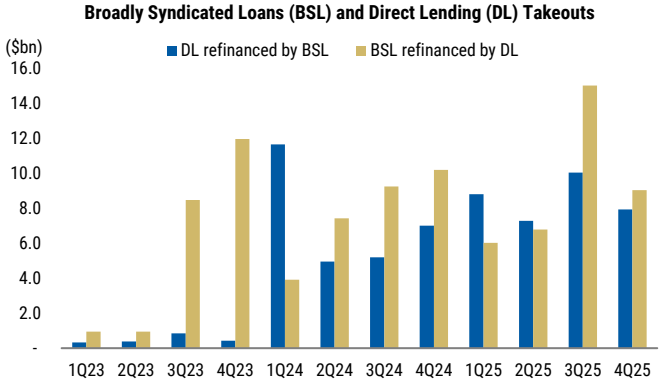
However, we think the real world impact will go beyond just software for BSL. One point we have repeatedly emphasized is that private credit has stepped in to provide refinancing to several stressed public market issuers (across several sectors) at par since 2022. This has meant many lower-rated borrowers transitioning to the private market from public over the past 4 years. **The counter-factual here is that some of these borrowers would have likely defaulted if this private market backstop did not exist.**

Exhibit 10: Default rates have moderated in both public and private loan markets, but we expect an AI-disruption-driven pick-up



Source: S&P, Pitchbook | LCD, Morgan Stanley Research

Exhibit 11: Significant debt got refinanced from the BSL market to private credit in recent years



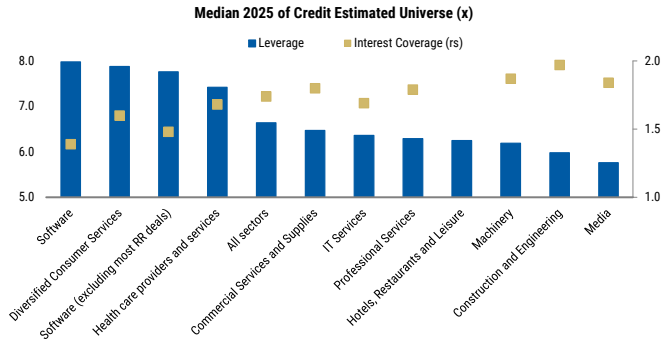
Source: Morningstar, Morgan Stanley Research

Estimating this counterfactual impact is not easy, but in Exhibit 11 we show the amount of BSL data getting refi'ed into private credit over time. We look at the ratings breakdown of these issuers, and assume that 75% of CCCs and 20% of low Bs in this cohort would have defaulted if not for the PC refinancing option. Normalizing this by total debt outstanding in the BSL market, we get to an incremental 0.3-0.5% of estimated defaults. Lastly, we assume the impact on issuer-count weighted measure to be in the same ball park.

If we add this back to our estimated software-impact default analysis, for the BSL index, we get to annual defaults around 5.5%.

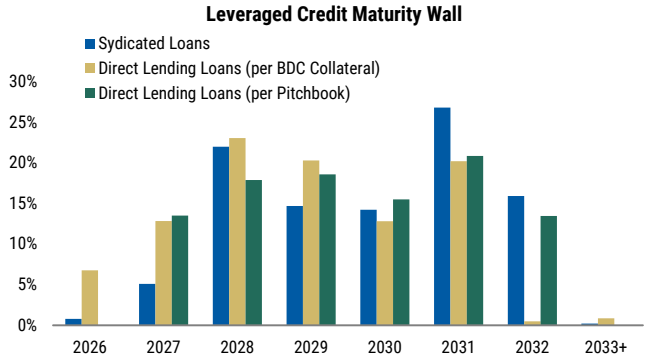
On the surface, default risks appear more pronounced in private credit, where exposure to software is materially higher and underlying credit quality is weaker. Public BDC data – our proxy for broader direct-lending portfolios – indicates software exposure of approximately 26%. Private credit software issuers also exhibit the highest leverage and weakest interest coverage across sectors. According to S&P Global Ratings, software companies in their private credit universe carry average leverage of 8.0x versus 6.6x for the broader universe, while interest coverage stands at 1.4x compared to 1.7x overall (see Exhibit 12).

Exhibit 12: The Software sector has the highest leverage and lowest interest coverage



Source: S&P, Morgan Stanley Research

Exhibit 13: Maturity profiles screen more front-loaded in private credit than the BSL space

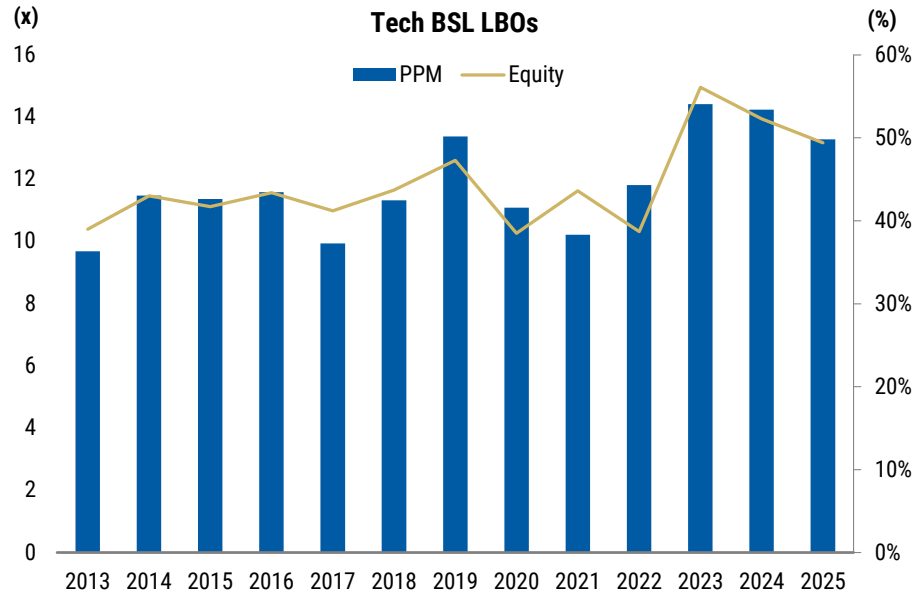


Source: Pitchbook | LCD, Morgan Stanley Research; As of 3Q25.

Why is the evolution of defaults in private credit different? A key difference between the evolution of defaults in the public (BSL) and private credit markets is worth emphasizing. BSL investors are largely CLOs. A typical loan of $500 million may have as many as 50-75 separate CLOs, each with a relatively small share of the outstanding loan. During periods of stress, the presence of a large number of small lenders makes it very challenging to get to a resolution that avoids a default, even if only temporarily.

In private credit, the number of lenders in a given loan is much smaller, often just one. The flexibility of negotiations to prevent a default is orders of magnitude greater when the number of parties involved is very small. As shown below in Exhibit 14 equity contributions of sponsors in tech LBOs are substantial (~50% in the past 7 years). While the below chart is for the BSL market, we think it is reasonable to assume that equity contributions even in PC software LBO deals were historically high. **The more substantial the skin-in-the-game for sponsors, the greater the willingness to negotiate terms to prevent defaults.**

Exhibit 14: Assuming equity contribution in BSL and PC LBOs mirror each other, equity contribution by sponsor has been high in recent years



Source: Pitchbook | LCD, Morgan Stanley Research

So effectively, there is a push and pull in the default estimation for private credit. On the one hand, software exposure is higher than the BSL market, and maturities are more front-loaded. On the other, the ability and willingness of lenders to work with borrowers means that the tail of upside outcomes is also better than what it could be for BSL. Essentially, there is a wider range of default outcomes.

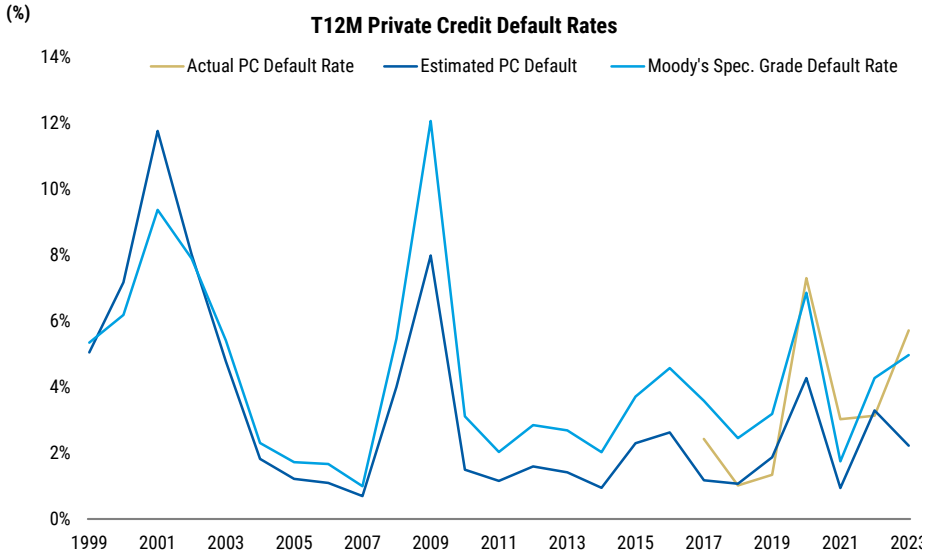
For a central estimate, we don't have as granular data around the ratings breakdown/ quality of software borrowers within private credit (unlike BSL). **But, we use a similar approach as above to analyzing refinancing risks, as we did for BSL above.**

- We start with the current in-place default rates in private credit. There is a wide range of estimates for the current in-place default rate in private credit (see Private Credit Tracker 4Q25 – As the Credit Cycle Turns for a detailed exposition of alternative default rate measures). The average of the two highest current private credit default rates (S&P and Fitch) puts it at 5%.
- Considering the front-loaded maturity wall of software in private credit, we lean toward the high end of the sector-specific default range (i.e., ~20%).
- Exposure to software varies across different segments of the private credit universe. Unfortunately, we do not have visibility to sectoral exposures across all segments of the private credit universe. We estimate the exposure to software across BDCs to be 26% and private credit CLOs at 19% (Exhibit 3). Sector exposures in private credit funds, pension funds and insurers is not publicly available. Taking into consideration that the growth in BDC AUMs is more recent, we think it is reasonable to assume that the rest of the universe is somewhat lower than the exposure in BDCs. For our calculations, we assume that for the private credit universe, the software sector exposure to be 20%. Applying the high end of the sector-specific default range to the sector weight in private credit, we

get an incremental 3% contribution to aggregate defaults from the sector.

- Adding this to the current in-place default rate of 5%, we get to a forward-looking estimate of 8% for private credit.
- Similar to BSL, we see this as an estimate from 2H26 through 1H27. Although within this period, PC defaults might be somewhat more front-loaded.
- And to reiterate what we wrote above, the band of uncertainty is much wider. If software disruption is deeper and quicker, defaults could be higher given how large the sector is. On the other hand, should PC lenders show more willingness to work with companies, defaults may end up being closer to what we see in the BSL market.

Exhibit 15: Our PC default estimates are above average, but lower than the extremes seen for a 70% B and 30% CCC portfolio



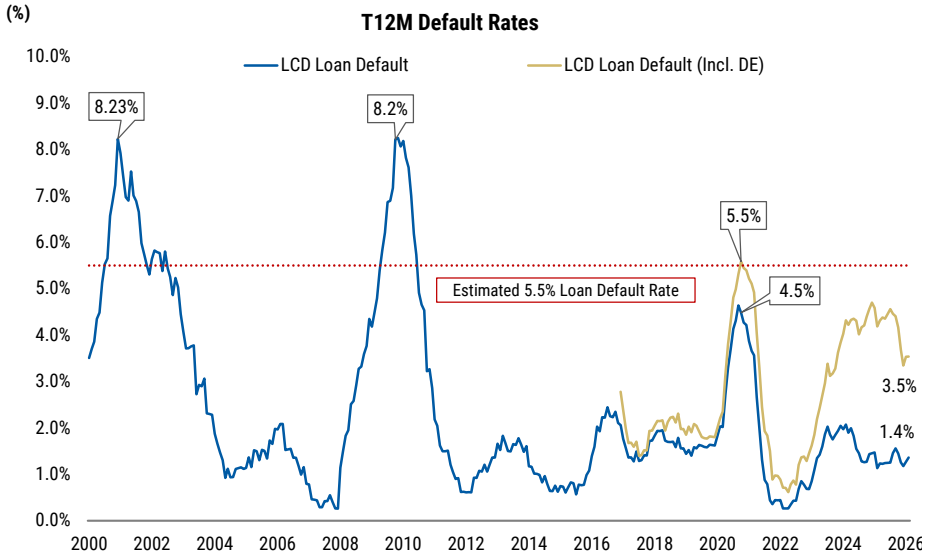
Source: Moody's, S&P, Morgan Stanley Research

What does a 5.5% Loan and 8% PC default rate mean in a historical context?

These assumptions — 8% for private credit and 5.5% for loans — are well above average default rates. We don't have default rates for these markets going back too far, but if we use the overall speculative grade universe since 1970, the LT average is ~3.8%. **Our projections for Loans are roughly at the 75th percentile over history.**

At the same time, our default estimates sit meaningfully below the extreme stress levels observed during major periods of economic dislocation, providing useful historical context for their severity. The worst-ever 1Y default rate for the speculative grade market was ~12% in 2009. In the early 2000s and during the GFC we saw default rates reach 8%+ in the BSL market, above our estimated software impacted default rate of 5.5%. COVID-era default rates reached highs of 5.5% in the BSL market, in line with our software-impacted estimate. Similarly in private credit, the 8% default rate would be highest since 2010, but well below the spec. grade peaks seen in the early 2000s or in 2008/09.

Exhibit 16: Estimated software impacted BSL and PC default rate falls in line with COVID peaks and below all-time highs in the late 2000s and GFC

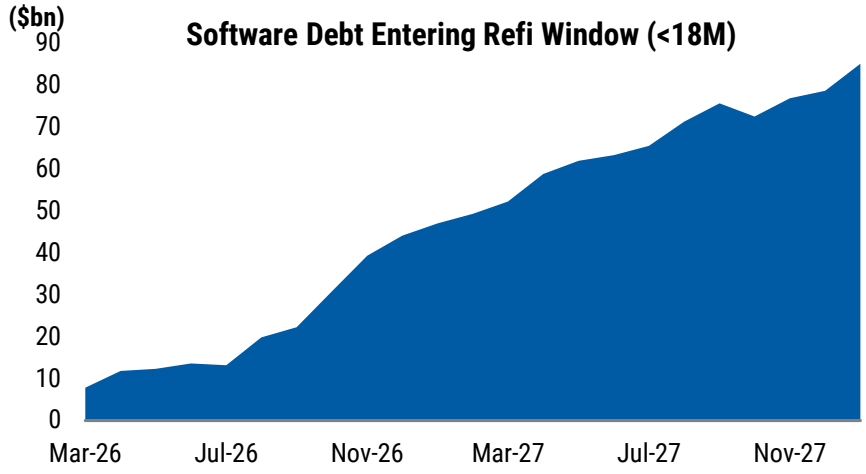


Source: Pitchbook | LCD, Morgan Stanley Research

Default timing and recoveries

Timing wise, we think defaults may not increase right away. The software sector is not facing an immediate liquidity crunch, and in-place fundamentals are healthy. In addition, rating agencies are not likely to take a pre-emptive negative view of AI disruption. They have signaled that they will not take rating action on sentiment, but only when the data demonstrate that disruption is significantly impacting fundamentals on a company-by-company basis.

Exhibit 17: Software debt entering the < 18M refinancing window increases in 2H26



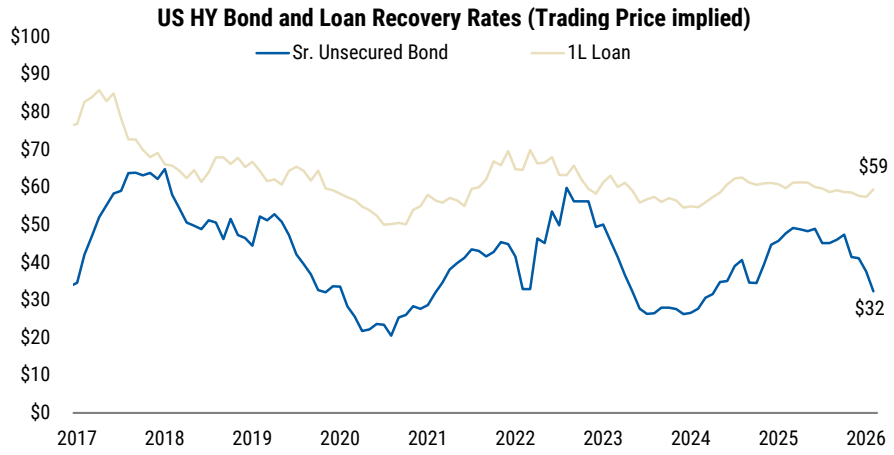
Source: Morningstar, Morgan Stanley Research

Rather, we expect defaults to start ticking higher once software loan borrowers must address their debt. As shown in Exhibit 17 this pressure really picks up in 2H26. In effect, our default estimates outlined above can be seen as an annual run-rate from 2H26

through 1H27.

Finally, on recoveries, software presents a unique challenge in that the sector is asset-light, which on the surface would argue for low recoveries or higher loss-given default. But, given the sponsor-heavy nature of the sector, we think defaults will likely skew toward "soft" distressed exchanges rather than bankruptcies, in keeping with the trend of recent years. Shown in Exhibit 14 , sponsors have injected a lot of equity this cycle, especially in software deals. **As noted earlier, the small number of lenders in private credit makes liability management exercises (LME) such as distressed exchanges involving a combination of modest haircuts to principal, incremental coupon, and additional equity injection leading to maturity extension would be the likely path for defaults in private credit confronting maturity walls in 2027 and 2028.**

Exhibit 18: Recoveries in the BSL market have trended lower amid LME activity and weaker covenants



Source: Moody's, Morgan Stanley Research

It's also worth emphasizing that covenant protections to lenders are stronger in private credit relative to BSL, where the vast majority of loans are cov-lite. **Taking these factors into consideration, we posit private credit recoveries to be substantially high, in the range of 70-80% (or 20-30% loss-given-default rate) over the next 12-18 months.**

In contrast, first lien loan recoveries in BSL have been declining for some time (Exhibit 18) due to weak covenants and repeat defaulters. Effectively, private credit might experience higher default rates but also high recoveries relative to BSL over the next 12-18 months.

Private Credit Risks: Significant ≠ Systemic

Before we discuss the current landscape, some historical context around private credit is important. While the asset class has grown sharply in recent years, it is by no means new, and arguably predates the public credit market. Private credit's roots stretch back decades – from insurance companies providing private placements to corporates several decades ago, to mezzanine debt funds financing leveraged buyouts in the 1980s and 1990s. **So today's market is an evolution of long-standing lending practices rather than a new invention.**

Another important nuance is that private credit is a broad umbrella term encompassing various forms of non-bank lending that are not broadly syndicated. While it is often conflated with direct lending to businesses (sometimes called Private Credit 1.0) – admittedly the largest segment of the market – it also includes a wide range of other strategies and asset classes. **The concern for the market right now is on the direct lending piece of private credit, even as other mandates (IG private placements, asset-based finance) have been largely unaffected.**

Exhibit 19: US direct lending accounts for 30% of the leveraged finance market in 2025…

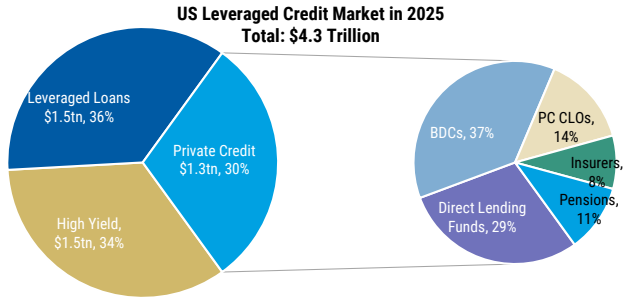
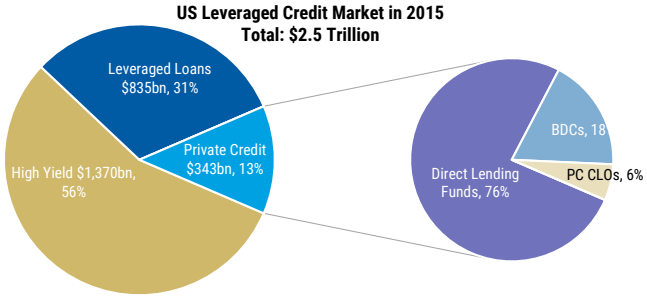


Exhibit 20: … versus 13% ten years ago



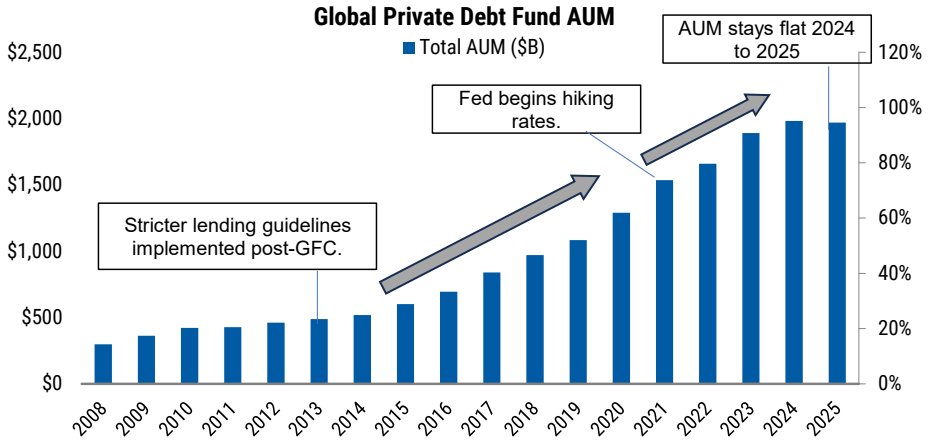
Source: PitchBook | LCD, ICE, Morgan Stanley Research

Source: PitchBook | LCD, ICE, Morgan Stanley Research

What has changed in private credit over the past decade though is its interaction with the public market. Specifically, we identify two important shifts in its evolution.

Until the early 2010s, private credit was a niche part of the market that competed with banks for underwriting credit, aimed largely at small and mid-sized businesses. **Following the leveraged lending guidelines that went into effect post-GFC, banks pulled back from underwriting loans north of 6x leverage (debt to EBITDA) directly on their balance sheets.** This created a vacuum for private credit to step into this segment of the market. Not only did private credit expand post the Leveraged Lending Guidelines, but there emerged an adverse quality bias in the assets being originated (i.e., skewed to high-leverage transactions that banks avoided, by choice or by regulatory diktat).

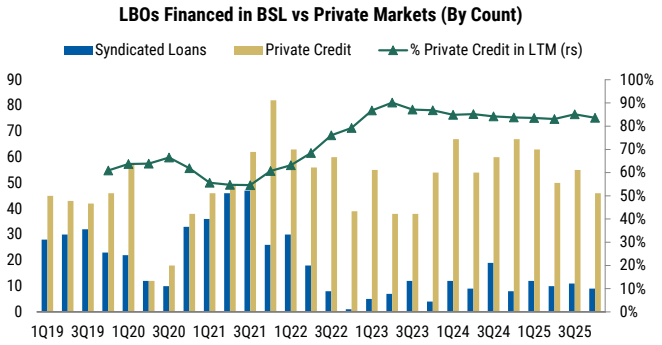
Exhibit 21: As of 2Q25, private debt funds' AUM totaled nearly $2.0tn globally, with ~30% not yet deployed



Source: PitchBook | LCD, Morgan Stanley Research. Note: Data as of 06/30/2025.

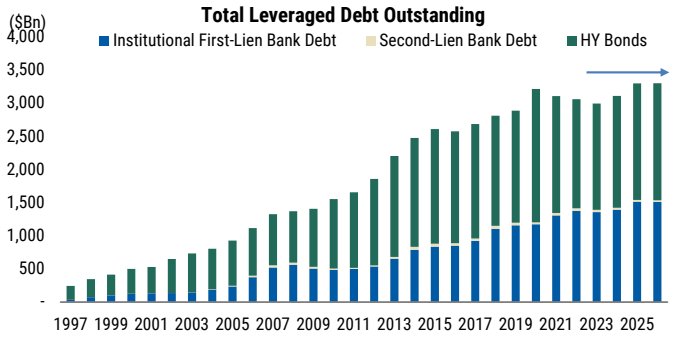
The second important transition point was more recent, circa 2022-23. Following a rapid rate-hiking cycle from the Fed, public credit markets (IG, HY, and Loans) saw significant outflows. New-issue market access was patchy, and for high-levered/stressed issuers, raising capital via the public channel had become difficult. Private credit stepped in here (as noted earlier), as a more stable source of capital that was less sensitive to ratings, and one where lenders were willing to work directly with borrowers on bespoke transactions. The proportion of LBO financing deals that got done in private credit increased sharply post 2022 (see Exhibit 22). **Unlike public credit, private credit was seeing inflows, with attractive yields on offer on the back of high policy rates (which set base rates on the loans), and significant excess credit spreads.**

Exhibit 22: Private credit financed over 80% of all LBO deals in 2025, per PitchBook



Source: Pitchbook | LCD, Morgan Stanley Research

Exhibit 23: HY and Loan market have not grown meaningfully since 2021



Source: S&P LCD, Morgan Stanley Research

Indeed, as we have written multiple times before, private credit helped smoothen out the default cycle and keep defaults relatively low in the public market over the 2022-2024 period by stepping in to refinance a lot of public debt. This post-COVID period marked the second evolution of private credit, which drove rapid expansion.

Why is all this important in the context of systemic concerns? In our view, while private credit has grown, much of the expansion has occurred as a substitute for

traditional public credit markets and bank lending. In effect, a portion of lending activity has migrated from public markets to private channels rather than representing a net increase in credit creation. All that has changed is who intermediates credit. This substitution matters: the rise of private credit reflects a structural shift in credit intermediation, not a surge in aggregate leverage.

To emphasize this point, we look at aggregate measures of credit relative to GDP in the Exhibit 24 and Exhibit 25 below. From a macro perspective, the HY and Loan markets have barely expanded since COVID. **Even after accounting for the growth of private credit funds, total non-investment-grade corporate lending as a share of GDP is lower than it was in the years preceding the Global Financial Crisis.** Similarly, aggregate corporate debt-to-GDP ratios have stabilized or declined modestly in many advanced economies in recent years. By contrast, in prior late-cycle periods such as 1999, 2007, and 2019, corporate leverage had been rising steadily or sharply for several years.

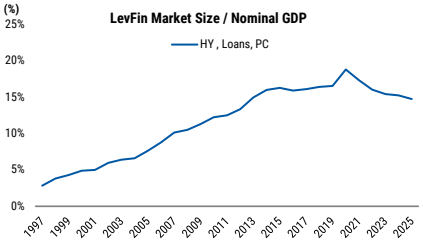
These trends indicate that while the composition of credit markets has evolved, the total stock of riskier corporate borrowing has not expanded to levels that would suggest broad-based systemic vulnerability. Instead, the shift toward private credit primarily reflects changes in market structure and investor demand rather than a meaningful increase in overall leverage.

These trends also resonate when we look at corporate balance sheet metrics on a bottom-up basis. Corporate leverage has been largely sideways to lower over the past 4 years, while the quality of the IG and HY market has improved in aggregate. There has been a deterioration in quality loans, but largely driven by the funding cost increase for very low-rated issuers, as opposed to broad-based trends. Even within private credit, over the last few quarters, median leverage has declined and coverage improved.

Exhibit 24: Corporate debt relative to GDP declining consistently since 2020

Source: Federal Reserve, Morgan Stanley Research

Exhibit 25: The sub-IG portion of the credit market has shrunk as % of GDP post-COVID



Source: S&P, LSEG, Pitchbook, FRED, Morgan Stanley Research

Even in absolute terms, private credit — at roughly $1.4 trillion outstanding — remains small relative to a US economy exceeding $30 trillion. By comparison, the commercial real estate (CRE) market, which recently underwent an office-led price correction, is substantially larger at over $10 trillion, with CRE debt alone approaching $5 trillion — well above the size of private credit.

Private credit headwinds are partly cyclical around macro and rates

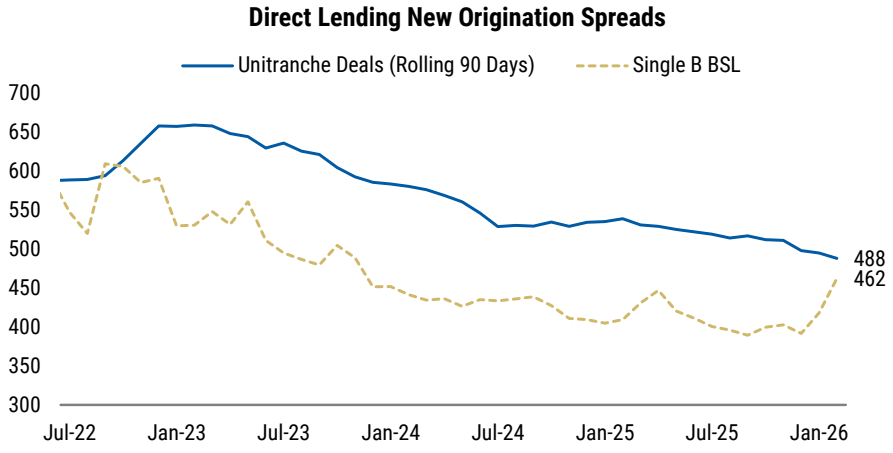
The recent pullback in private credit should not be viewed solely through the lens of

emerging default concerns around software disruption. In reality, the softening in sentiment began well before these narratives gained traction. The initial catalyst was the shift in monetary policy, as the Federal Reserve moved toward rate cuts. Lower base rates mechanically reduced the income generated on floating-rate loans, which had previously benefited from a higher-for-longer environment. As yields compressed, the asset class naturally became less compelling on a relative basis, setting the stage for a moderation in demand.

This dynamic was further exacerbated by intensifying competition between public and private credit markets. As conditions in broadly syndicated loans and high-yield bonds improved, issuers increasingly found attractive financing options outside of private channels. This competitive pressure drove a compression in spreads within private credit, eroding one of its key advantages — its illiquidity premium. As capital continued to flow into the space, managers faced growing pressure to deploy, contributing to looser terms and tighter pricing. **The combination of lower base rates and spread compression created a more challenging return environment, independent of any structural concerns about technology-driven disruption.**

More recently, sentiment has been weighed down by a series of idiosyncratic headlines, including situations such as First Brands and Tricolor — neither of which is strictly a private credit story. These cases have drawn attention to pockets of stress, but we view these as idiosyncratic rather than indicative of systemic deterioration. Taken together, the drivers of the pullback reflect a confluence of macroeconomic shifts, competitive dynamics, and episodic credit events. Importantly, many of these factors are cyclical in nature and should normalize over time, suggesting that the current dislocation may be less about structural impairment and more about a resetting of expectations.

Exhibit 26: The spread differential between private and public credit narrowed in recent years as the macro backdrop improved



Source: KBRA, PitchBook | LCD, Morgan Stanley Research

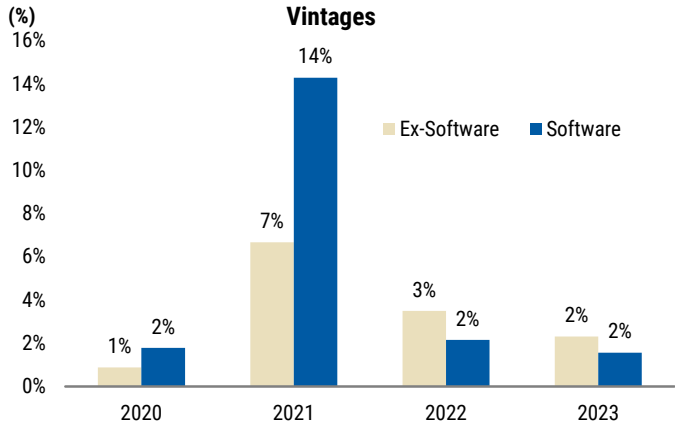
Outside of software, maturity walls and leverage appear less concerning

Although many industries will inevitably face some degree of technological disruption, access to capital appears less concerning (ex software). **Outside of software, only about**

19% of the current outstanding matures by 2028, compared with roughly 26% for software issuers, indicating less near-term refinancing pressure in the broader index. The ratings composition further highlights this divergence.

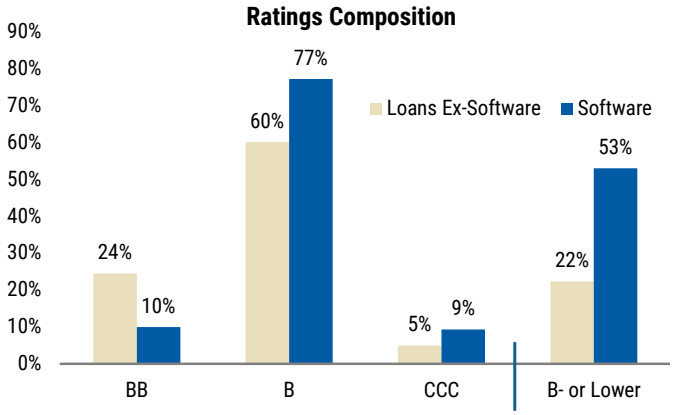
Approximately 24% of the ex-software cohort is BB-rated, versus just 10% within software. Conversely, the lowest tier of the index shows a much heavier concentration in software, where 44% of issuers are B-, compared with 17% among non-software borrowers. Further, the software cohort is disproportionately weighted toward the weaker 2021 vintage, a period characterized by low interest rates and post-COVID assumptions that ultimately did not materialize. Refinancing and default risks are likely not as elevated across other industries, and companies/sponsors have a longer maturity runway to deal with any disruption headwinds.

Exhibit 27: The Software cohort is far more skewed to weaker 2021 vintages



Source: Morningstar, Morgan Stanley Research

Exhibit 28: Ex-software, the ratings breakdown in BSL is better quality



Source: Morningstar, Morgan Stanley Research

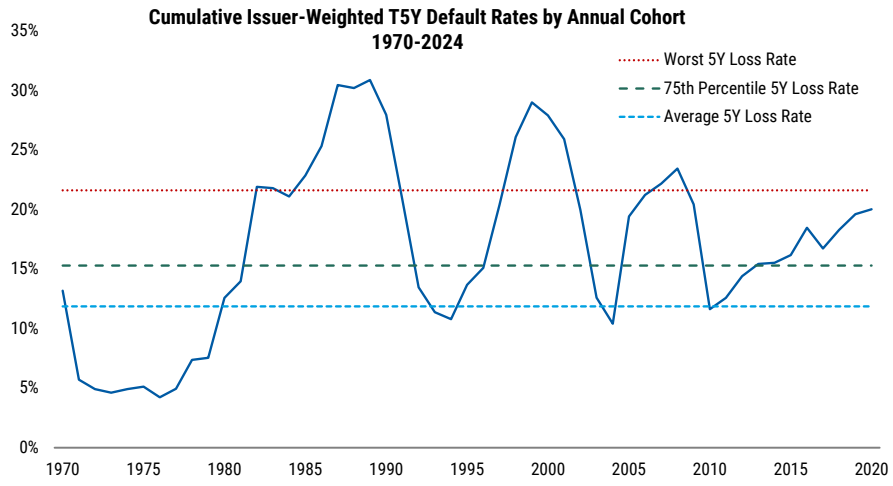
Banking system insulated from private credit losses

Contagion through the banking system is typically the primary channel through which stress in one sector spreads to the broader economy. In the case of private credit, however, banks' involvement is largely indirect. **Rather than holding direct exposure to underlying borrowers, banks provide "back leverage" to private credit lenders via financing structures and/or asset-based lending (ABL).**

Current estimates suggest that bank lending to NDFI (non-depository financial institutions) is in the order of ~$1.5 trillion. This number includes ~$375 billion to business credit intermediaries (which likely includes private credit exposure). Our equity analysts covering banks have noted in their section that private credit loans make up a relatively small fraction of all loans outstanding at ~3% (see US Banks).

The level of financial leverage embedded within the private credit ecosystem remains meaningfully lower than in pre–Global Financial Crisis (GFC) credit markets. Loan-to-value ratios on fund-level financing are generally around 50% range – well below the leverage levels seen in pre-crisis structured credit vehicles such as ABS CDOs or bank warehouse lines to mortgage originators.

Exhibit 29: The worst historical 5Y speculative grade cumulative loss rate is around 22%; typical fund LTVs suggest significant risk-remoteness for bank financing



Source: Moody's, Morgan Stanley Research; Assumes a 70% recovery rate.

In addition, these financing arrangements are typically secured against diversified loan portfolios and subject to strict covenants, margining requirements, and haircuts. This allows lenders to dynamically manage risk as portfolio quality or valuations evolve.

Looking from the lens of asset performance, as we show above, the worst ever 5Y cumulative default rate was speculative grade issuers was ~31%, which would mean about 22% losses, assuming 30% recovery. **Effectively, defaults would need to be multiples of this worst case realized experience to directly impact banks.**

Redemption risks largely from Retail: Institutional investor demand holds up (e.g., Loans)

Recent investor focus has centered on declining public BDC valuations and rising redemptions from private and semi-liquid vehicles. Our equity research colleagues covering brokers and asset managers have discussed these redemptions in their section, including an insightful comparison to the redemptions observed through REITs during the CRE crisis of 2023/24.

From the credit perch, we make 2 observations.

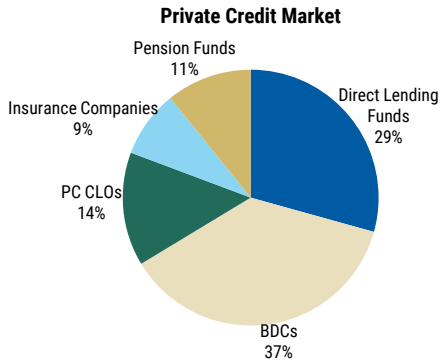
1. First, limits on redemptions in semi-liquid private credit vehicles play an important stabilizing role. While this may constrain investor liquidity, it aligns redemption terms with the illiquid nature of the underlying assets. By capping outflows, these structures allow managers to meet redemptions through natural portfolio cash flows — such as loan repayments and refinancings — rather than forced secondary market sales. This is particularly important in an environment where secondary liquidity is limited and price discovery is imperfect. In effect, limits on redemption reduce the risk of forced selling, helping to prevent negative feedback loops and disorderly deleveraging. In this sense, they function as a feature rather than a flaw, mitigating liquidity mismatches and systemic risk.

2. Second, while we think outflow concerns are likely to persist through the retail exposure channel, institutional ownership is likely to be more stable. Within private

credit, we estimate roughly 37% of private credit assets (~$450 billion) are held within BDCs (see Exhibit 30). While precise estimates of the extent of retail participation in private credit is hard, our rough approximation is that on an AUM basis, it is around $400 billion of the $1.3 trillion US private credit market, mainly through private BDCs. The AUM numbers include some leverage, which means the actual retail equity money in private credit is about $200-$250 billion.

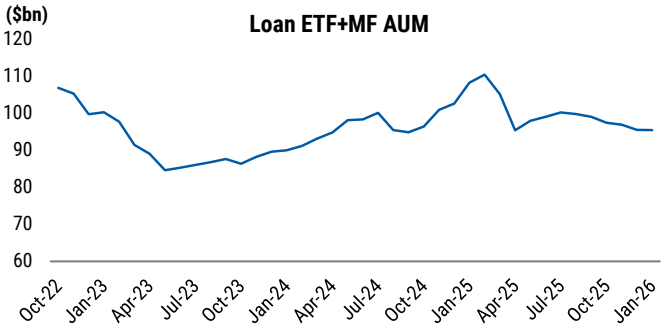
The remaining 60%+ is held across deeper capital segments with a much longer time horizon, CLOs, insurance companies, pension funds and endowments. These are institutional investors, typically locked into closed-end vehicles or operate within strategic asset-allocation frameworks, limiting their sensitivity to short-term market volatility. This helps mitigate the risk of a broad, system-wide unwind.

Exhibit 30: Retail outflow headwinds bigger for private credit, but the majority of institutional investor ownership should be more stable



Source: BDC Collateral, Pitchbook, Moody's, Morgan Stanley Research

Exhibit 31: Retail accounts for less than 10% of the loan market, where the primary market has been open despite weak performance around software

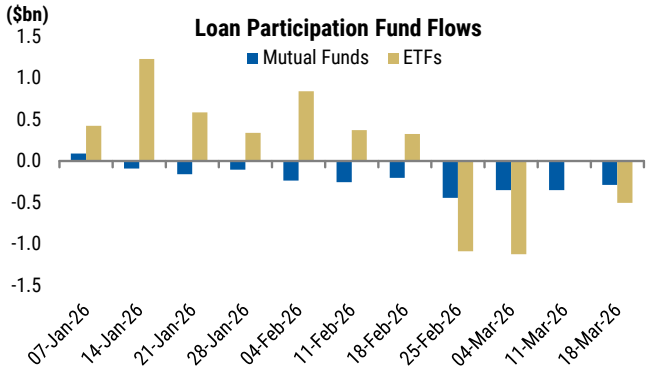


Source: Lipper, Morgan Stanley Research

The BSL market is an interesting counter here to private credit. By our estimate, the broadly syndicated loan (BSL) market has less than 10% retail ownership, if we add up the total AUM of loan mutual funds and ETFs (see Exhibit 31). Roughly 70% of loans are held by CLOs, which are typically term financed. **CLO issuance has been robust, tracking $45 billion on the year.**

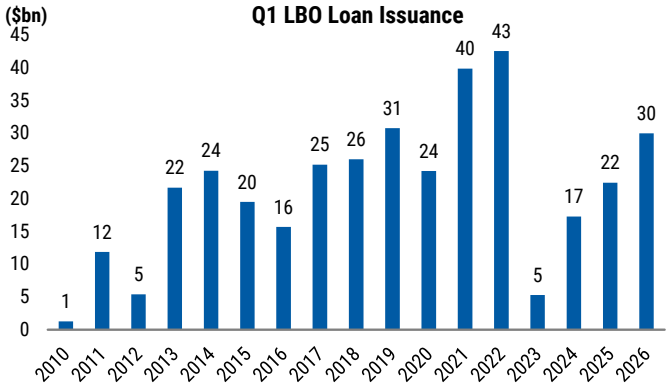
BSL market performance has clearly suffered on the back of software exposure, with the index down about 0.6% on the year, and software sector down roughly 6%. The retail component of loans has also seen significant outflows of ~$5 billion YTD (see Exhibit 32). But, despite weaker secondary performance, primary loan markets have remained resilient, continuing to support large LBO financings. **As we show in Exhibit 33 , LBO issuance in the BSL market is tracking well above the run-rate over the past few years.**

Exhibit 32: Loan markets are down on the year, and seeing notable outflows...



Source: Lipper, Morgan Stanley Research

Exhibit 33: ... yet the primary market has facilitated several large new-money transactions.



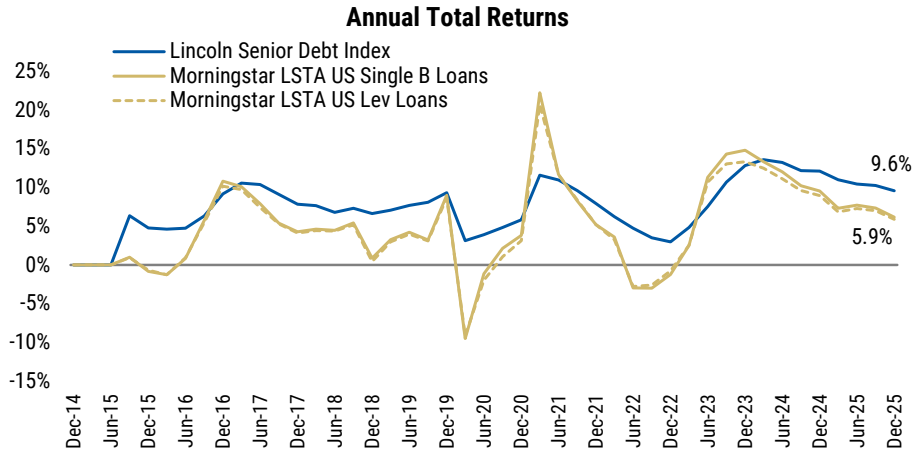
Source: Pitchbook | LCD, Morgan Stanley Research

Where do we go from here?

1) Further outflows, and sluggish AUM growth. BSL market is likely to hold up better: Putting the above together, we think there are still multiple sources of uncertainty in the private credit market, and ones that are not likely to go away any time soon, especially for software. Plus, we also acknowledge that the private credit or BSL market has never had large concentrated sectoral stress, as we might see in software. So, we think outflows are likely to persist especially through the retail channel, which could mean the private credit market either does not grow, or modestly contracts in size this year. **But, we think public markets – both HY bonds and Loans should hold up better, both in terms of performance and consistent capital access.**

2) Price declines are likely to get worse till software exposure is 'right sized': Given the less-liquid nature of the BSL and private credit market, and the exposure to software, we think there ultimately needs to be a significant amount of risk transfer. Loans need to transition to pools of capital that have a much longer time horizon and can work directly with the companies/sponsors on work-around strategies (think distressed funds or opportunistic credit funds). This risk transfer likely happens over a period of time as investors work through different situations, and with a corresponding decline in Loan prices. It likely persists till software exposure is somewhat onsides, which is hard to estimate, but could be at least 5% lower than the levels we noted above in Exhibit 3.

Exhibit 34: Total returns ended the year 2025 at 9.6% in direct lending, vs ~6% for syndicated loans



Source: Lincoln International VOG, PitchBook | LCD, Morgan Stanley Research

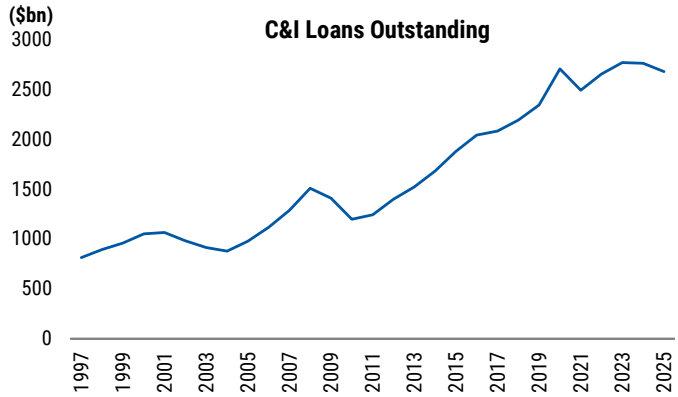
3) The broader private credit market is evolving toward higher-quality mandates. For all the negativity around private credit, we re-emphasize here a point we made at the start of this section. Private credit is not just direct lending, but increasingly includes a range of higher-quality mandates, including asset-based finance (ABF), IG private placements, infrastructure financing, etc. In fact, we have noted in the past that private credit 2.0 is increasingly skewed toward demand insurance companies that need high-quality exposure. ABF will remain a growth area on this front.

There's an interesting dichotomy emerging. While traditional private credit ('1.0'), particularly direct lending to software companies, may face headwinds from AI-driven disruption and margin compression, those same forces are driving a surge in capital demand for AI infrastructure. **From a macro perspective, this shift could accelerate the transition toward 'private credit 2.0'—focused on financing hard assets and infrastructure, which may offer more durable cash flows and lower credit risk.**

Direct lending loans originated going forward, on the other hand, are likely to have tighter covenants and lower leverage, and could be amongst the stronger vintages in recent years.

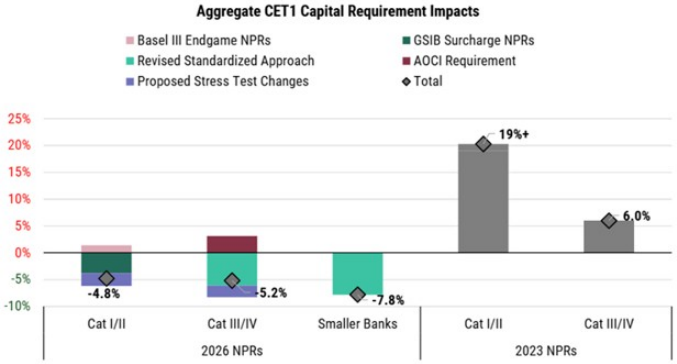
4) Credit availability in the economy not shrinking, banks will step in: Macro investors have raised concerns around what a pullback in private credit could mean for the economy. In isolation, these concerns are justified. After all, while fund redemptions can be met over time by loan paydowns, if the borrower is not able to refinance, it represents a real tightening in credit conditions that bodes negatively for the macro-economy.

Exhibit 35: The current size of C&I loans outstanding is about $3tn, much higher than deployed private credit



Source: FDIC, Morgan Stanley Research

Exhibit 36: The most recent 2026 proposals should unlock the excess capital banks were holding to satisfy the tougher old 2023 proposal



Source: Federal Reserve, Morgan Stanley Research; NPR=Notice of Proposed Rulemaking. Inclusive of the recent changes to eSLR, capital requirements for Cat I/II banks go down by 6%; For further discussion see New Capital Rules Out

But there is an important offset. We think bank lending is likely to emerge as more than an offset to the slowdown in private credit. Without going into much detail, we think recent developments on regulations — both the Basel III endgame and removal of leveraged lending guidelines — provide a strong incentive for banks to increase loan growth.

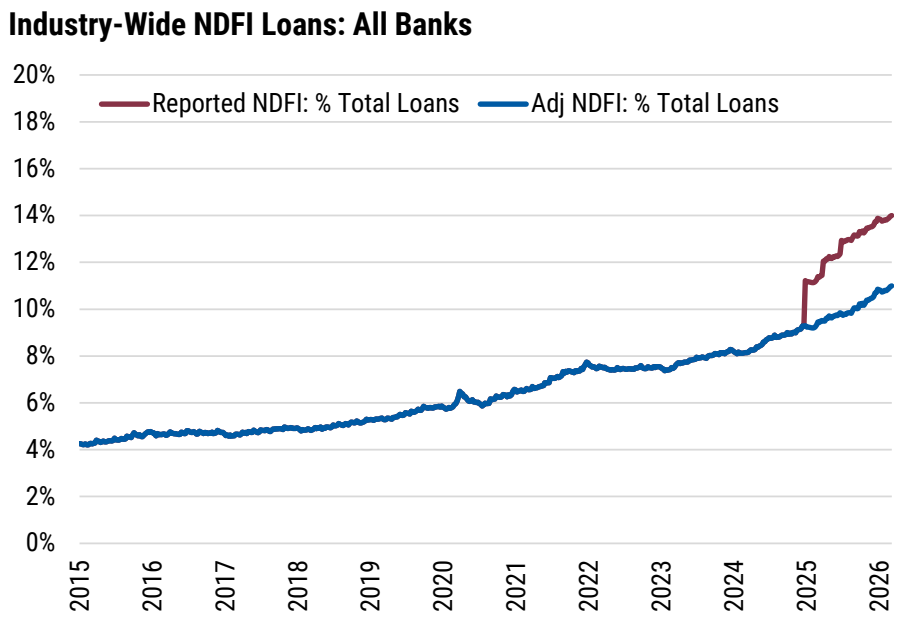
US Banks

— Manan Gosalia, Brian Wilczynski, Alex Ward

Key takeaways:

- **Even with substantial growth, private credit exposure remains small:** NDFI Loan (loans to non-depository financial institutions) balances have increased meaningfully over the past few years, in part due to reclassification. Private credit is only a small portion of NDFI loans, and represents ~3% of total industry loans
- **Several safeguards help protect banks from losses in private credit:** Banks typically lend senior, with low effective loan to value ratios and multiple layers of subordination, limiting both loss frequency and severity. Banks also require diversification in the underlying loan portfolio, and can require collateral markdowns and substitution.
- **We see private credit as a headline risk, not fundamental risk:** Recent scrutiny of bank exposure to NDFI/private credit reflects strong growth in NDFI (which is a larger category), a small number of idiosyncratic loss events, and broader negative sentiment toward private credit. Underlying bank credit quality for both commercial and consumer loans remains strong.

Exhibit 37: NDFI Loan balances have increased meaningfully over the past few years, in part due to reclassification.



Source: Fed H.8. Morgan Stanley Research, Bloomberg. Note: Data as of 3/25/26.

Exhibit 38: Private credit is only a small portion of NDFI loans, and represents ~2.8% of total industry loans

Loan Type	4Q25 Loans, $B	% Total Loans
Loans to Mortgage Credit Intermediaries	353.1	2.6%
Loans to Business Credit Intermediaries	**377.5**	**2.8%**
Loans to Private Equity Funds	368.6	2.7%
Loans to Consumer Credit Intermediaries	147.8	1.1%
Other NDFI Loans	292.1	2.2%
Total NDFI Loans	**1,539.1**	**11.4%**
Total Loans	**13,477.6**	**100.0%**

Source: Morgan Stanley Research, FDIC, SNL Note: Data as of 12/31/25. Data includes FDIC aggregates for all US banks >$10B. Banks <$10B are not required to break down NDFI into sub-components

Before outlining our view on the impact of private credit on banks, it is important to level set on an important related topic, loans to Non Depository Financial Institutions (NDFIs).

What is NDFI, and where does Private Credit fit?

- Bank investors have increasingly focused on NDFI loans, a broad category that includes lending to financial entities that do not take deposits. **Private credit lending is a sub component of NDFI,** but represents only one slice of a diverse exposure base.
- In late 2024, the FDIC introduced a more prescriptive and expansive definition of NDFI, prompting banks to reclassify certain loans previously reported within Commercial and Industrial (C&I) and consumer into NDFI on regulatory call reports. As part of this change, banks are now also required to break total NDFI exposure into five sub categories:
  - Loans to mortgage credit intermediaries
  - Loans to business credit intermediaries
  - Loans to private equity funds
  - Loans to consumer credit intermediaries
  - Other loans to non depository financial institutions
- **Based on our understanding of the reporting definitions, loans to private credit funds are generally captured within the "loans to business credit intermediaries" category. However, this is a broad bucket and includes exposures that are not purely private credit, such as loans to special purpose finance entities, CDOs, CLO vehicles, leasing companies, and similar entities.** Other NDFI loan categories capture distinct types of exposure, including loans to equity REITs, private equity capital call facilities, mortgage warehouse lending, and loans to insurance companies, pension funds, and other financial institutions.
- NDFI loans comprise ~11% of total loans across U.S. banks, with loans to business credit intermediaries (private credit) representing a significantly smaller sub component at ~3%.

Why NDFI and private credit are in the headlines

- As it relates to banks, private credit and NDFI lending have been caught up in investor discussions for three primary reasons:
  - NDFI balances have grown rapidly, in part due to reclassification

  - A small number of banks have disclosed idiosyncratic NDFI related losses, often tied to fraud or multiple pledging of collateral
  - Broader negative sentiment toward private credit has spilled over into discussions of bank exposures. Because bank private credit exposure is captured within NDFI lending, both have been swept into the negative narrative.
- While these dynamics introduce headline risk to the group, we believe actual credit losses for banks should be small. Hence, the risk here is not systemic.

In addition to limited exposure, banks have several structural protections in place to mitigate losses to private credit. this includes:

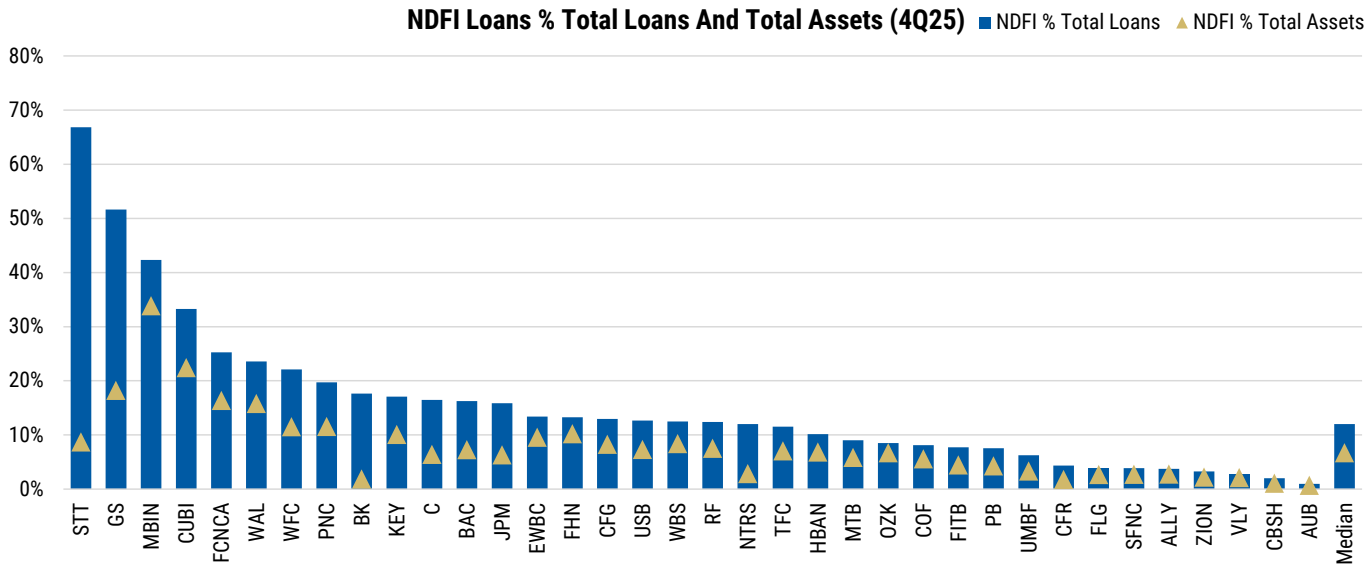
- 1) Senior positioning above equity investors and unsecured debt (i.e., the banks get paid first)
- 2) Full recourse against the fund
- 3) Requiring diversification of underlying collateral, i.e., loans are diversified across sectors and not concentrated in software
- 4) Significant visibility and influence over collateral (in many cases the ability to monitor borrower financials on a monthly/quarterly basis and require adjustments of collateral values in the fund)
- 5) Conservative advance rates to fund that result in an even lower look through LTV than banks get when lending to other asset classes. Many banks also do their own independent stress testing of private credit exposures to understand the scope of potential losses in different adverse scenarios.

To put a finer point on this, consider a simplified example of a typical private credit structure:

- Assume a company with an enterprise value of $20M
- The company gets a $10M loan from a private credit fund, of which:
  - $4M comes from investor equity
  - $6M comes from a bank loan to the private credit fund
- **From the private credit fund's perspective:**
  - The loan to the operating company has a loan to value (LTV) of 50% ($10M loan on a $20M company).
  - This LTV is based on enterprise value and falls well within typical private credit underwriting standards
- **From the bank's perspective:**
  - The bank's loan to the fund has an advance rate of 60% ($6M loan from the bank collateralized against a $10M loan by the fund to the company).
  - But given the private fund has also lent to the private company at only 50% Loan to Enterprise Value the bank's look through LTV is effectively only 30%.
    - Look through bank LTV = borrower LTV × advance rate = 50% × 60% = 30%
- **In this example, the underlying company's value would need to decline by more than 70% before the bank begins to incur losses, highlighting the substantial structural protection embedded in these transactions.**
- While this example assumes the fund has only one loan, in reality bank loans to the fund are secured by multiple loans in a diverse set of sectors

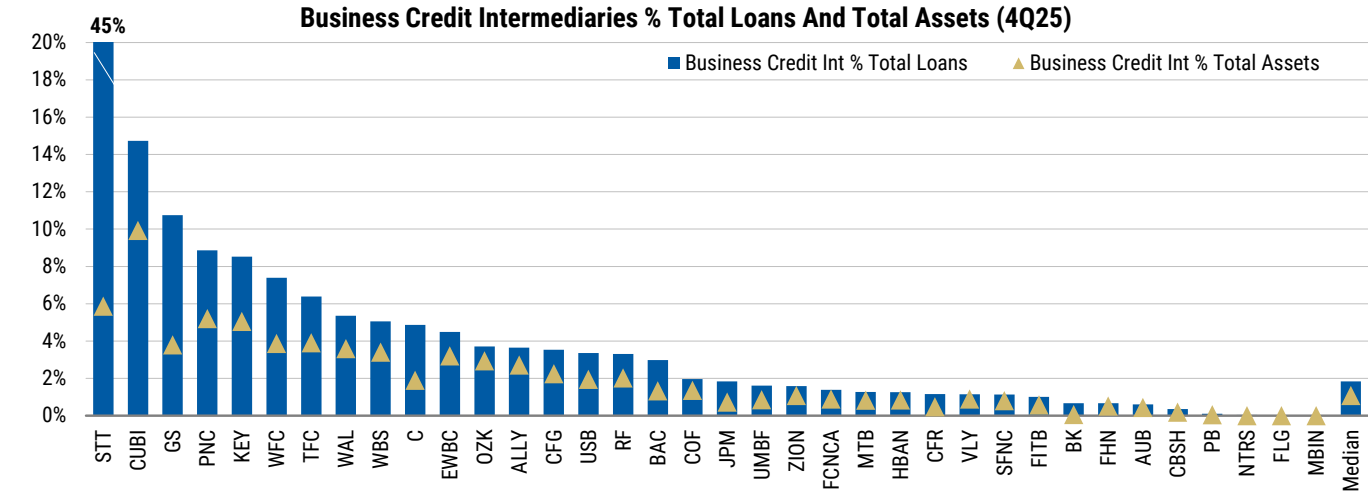
- **We believe structures like this are the norm, not the exception.** As a result, even in a downside credit environment, we believe banks are protected by multiple layers of subordination and conservative leverage. This positioning should meaningfully limit both loss frequency and loss severity, leaving banks well equipped to absorb any potential stress.

Exhibit 39: Even with recent growth in NDFI, as of 4Q25, total NDFI loans represent only 12% of total loans for the median large and midcap US Banks…



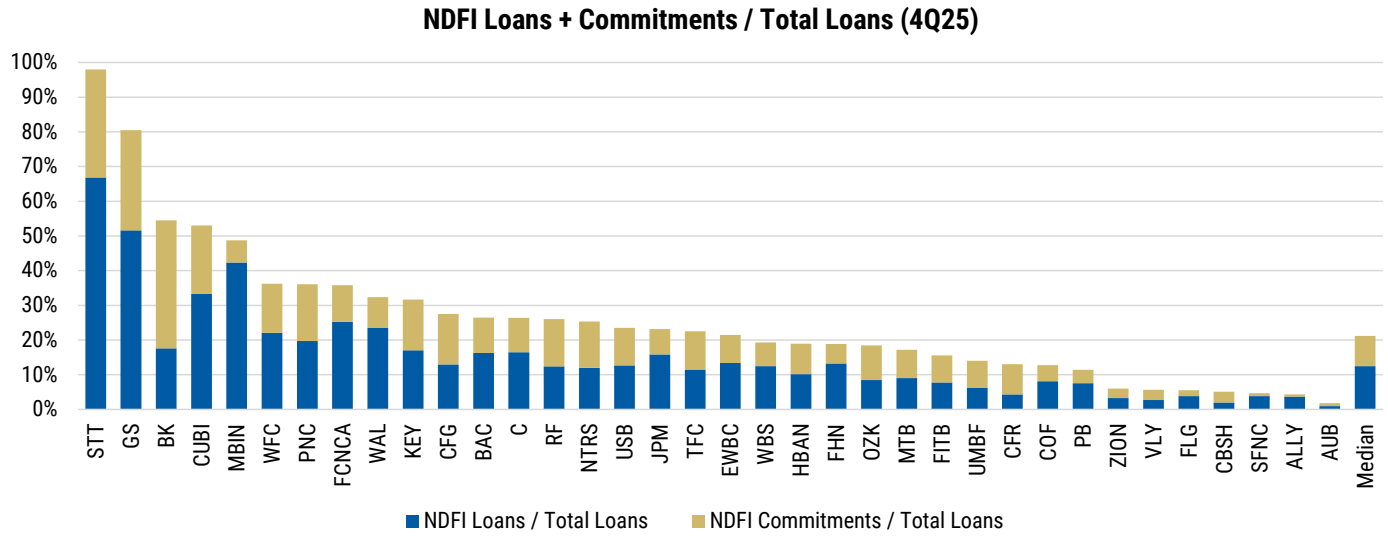
Source: Morgan Stanley Research, Company Data, FDIC. Note: List Includes MS banks coverage and the following non-covered banks: FCNCA, WAL, FHN,

Exhibit 40: ...with business credit intermediaries (private credit) accounting for just 2% of total loans



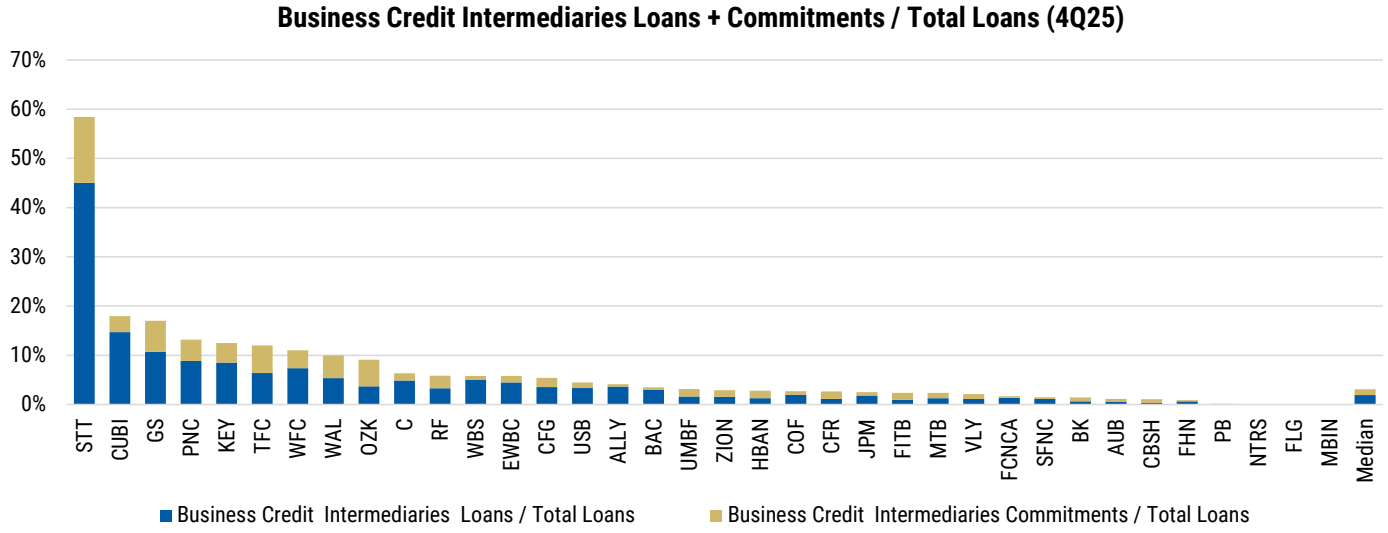
Source: Morgan Stanley Research, Company Data, FDIC. Note: List Includes MS banks coverage and the following non-covered banks: FCNCA, WAL, FHN,

Exhibit 41: Above charts reflect drawn lines. Adding undrawn commitments takes NDFI exposure to 21% of total loans…



Source: Morgan Stanley Research, Company Data, FDIC. Note: List Includes MS banks coverage and the following non-covered banks: FCNCA, WAL, FHN,

Exhibit 42: …and private credit exposure to 3%



Source: Morgan Stanley Research, Company Data, FDIC. Note: List Includes MS banks coverage and the following non-covered banks: FCNCA, WAL, FHN,

US Asset Managers

— Michael Cyprys, Annalei Davis, Barron Thomas

Alternative asset managers stock have sold off sharply YTD, down 20-30% with a lot of negativity in the price that increasingly creates an attractive buying opportunity for select high-quality diversified Alts mgrs. While the near term could get tougher given lack of identifiable catalyst path and tail risk if the situation in the Middle East persists for longer, we see increasingly attractive valuations, with the group trading near or through COVID-level trough multiples on fee-related earnings. This is despite durable underlying businesses that benefit from persistent management fee revenue streams on largely locked-up capital, high margin profiles, and substantial dry powder available for deployment to capitalize on dislocation. Prefer Overweights **BX**, **APO, BN,** and **KKR** given attractive valuations, highly scaled diversified platforms with amply dry powder to capitalize on dislocation and multiple vectors for growth.

Stocks have traded off due to heightened redemption requests from evergreen credit funds amid negative headlines around private credit and growing concern that accelerating AI adoption could compress the value of certain software assets. Negative private credit headlines and idiosyncratic credit events widely reported in the press have added to concerns around underwriting quality, borrower stress, and the risk of wider credit losses if the macro backdrop deteriorates. Layer on geopolitical uncertainty, persistent inflation risk, and renewed turmoil in the Middle East — the market is increasingly concerned around the pace of realization activity across the group and the overall growth outlook.

Catalysts for the stocks to work? Improved rate of change in private wealth redemptions, continued evidence of demand strength in the private wealth channel for products outside of private credit (e.g., secondaries, PE, infrastructure), earnings estimate revisions, visible path toward resolution of the conflict in the Middle East, and a capital markets recovery that can support realization activity.

Five key thoughts

1) We view challenges in private credit direct lending as cyclical.

Private credit had been an area of strong demand in recent years, but gross sales have slowed due to falling base rates, tighter credit spreads, and compressed returns that have gone from equity-like double digit returns to high single digits which has led investors to seek out more compelling after-tax yields elsewhere. **Most recently, redemptions picked up as the private credit market navigates a period of heightened scrutiny, driven largely by broader market concerns (e.g., AI disruption, software exposure, and generalized credit concerns) rather than a meaningful deterioration in underlying performance.** Among the largest managers, we've seen redemption requests accelerate to ~10% of NAV, or ~$13 billion in 1Q26, with nearly two-thirds of those redemptions honored, for an overall 6% redemption rate, or ~$8 billion redeemed, as many funds imposed their stated 5% limitation per quarter on redemptions. As headlines continue to attract attention, investors (particularly more news-sensitive retail investors) increasingly

consider asking for liquidity. **Thus, we view this as a sentiment-driven step back from private credit direct lending rather than a fundamental downturn,** fund performance, default rates, non-accruals, and other metrics all appearing very stable to date however we acknowledge that could change as we look forward. To the extent returns compress, we could continue to see elevated redemptions, but if returns and fundamentals hold up then redemptions could abate.

BDC Redemption Snapshot

Exhibit 43: 1Q26 BDC Redemption Requests at ~9% on Average, with only ~60% of Requests Fulfilled

Fund	NAV ($b)	Redemption Request (% NAV)	Redemption Request ($B)	Redemptions Honored (%)	Redemptions Honored ($B)	Fulfillment Rate	Notes
Cliffwater CCLF*	33	14.0%	4.6	7.0%	2.3	50%	Redemptions limited roughly to half of requests; fund pursuing **loan sales (~$1B)** and new commitments to manage liquidity.
ARES ASIF	11	11.6%	1.2	5.0%	0.5	43%	**ARES Strategic Income Fund saw 11.6% redemption requests**, and will accept repurcahse requests for 5% of shares outstanding.
APO ADS	15	11.2%	1.6	5.0%	0.7	45%	**Apollo Debt Solutions BDC (ADS), received redemptions from 11.2% of outstanding shares in 1Q26**. Fund NAV is $14.5b and redemption requests were more than $1.5b and APO capped at 5% redemptions or ~$730m
BLK HLEND	13	9.3%	1.2	5.0%	0.6	52%	Requests exceeded quarterly redemption limit; fund honored **standard 5% cap**, gating remaining withdrawals.
BX BCRED	48	7.9%	3.8	7.9%	3.8	100%	Typical quarterly cap 5%. Blackstone raised official tender to **7%** and **injected ~$400M (0.9%)** of firm/employee capital to meet the remainder.
APO USPC	1	6.6%	0.0	5.0%	0.0	76%	Apollo U.S. Private Credit Fund (USPC), sub-fund of Apollo Private Markets SICAV, **saw redemption requests of 6.6% which exceeds the 5% quarterly limit**... applied the 5% quarterly redemption limit as a result
TPG TCAP	2	1.3%	0.0	1.3%	0.0	100%	**TPG TCAP redemption requests were 1.3%, below the 5% threshold** but higher than 4q'25 redemptions of 0.9%.
OWL OBDC II	8	n.a	n.a	n.a	0.0	0%	**OBDC II halted redemptions after announcing restructing of liquidity profile, transitioning from qtrly redemptions to a "return of capital" framework.** Also sold $1.4b of loan assets @ 99.7% of par across various credit vehicles **($600m from OBDC II, $400m from OTIC, $400m from OBDC).**
BAM OSC	5	8.5%	0.4	8.5%	0.4	100%	**Brookfield's Oaktree will meet all 8.5% of redemption requests in its retail-focused Strategic Credit Fund.** Brookfield is contributing $80m of its own funds to meet the redemptions, which total ~$400m in aggregate
Average	**15**	**8.8%**	**1.6**	**6%**	**0.9**	**63%**	
Total	**134**	**9.6%**	**12.9**	**6.3%**	**8.4**	**65%**	

Source: Company Data, Morgan Stanley Research; Note: CCLF is an Interval Fund

2) Evergreen private credit vehicles is one of many strategies in the context of diversified multi-asset alternative asset managers

We size AUM across the large listed Alts mgrs in the private wealth channel at ~$600 billion, representing ~13% of fee-paying AUM, looking at both evergreen/semi-liquid products as well as listed permanent capital vehicles (e.g., listed BDCs) across asset classes and strategies. Notably, the **listed vehicles, comprising ~$240 billion of AUM (5% of fee-paying AUM),** offer investors daily liquidity in the secondary market as these vehicles are traded on exchange. In contrast, the evergreen/semi-liquid products comprise ~$340 billion of AUM (~7% of fee-paying AUM) and offer investors limited liquidity on a periodic basis, typically the ability to redeem up to 5% per quarter.

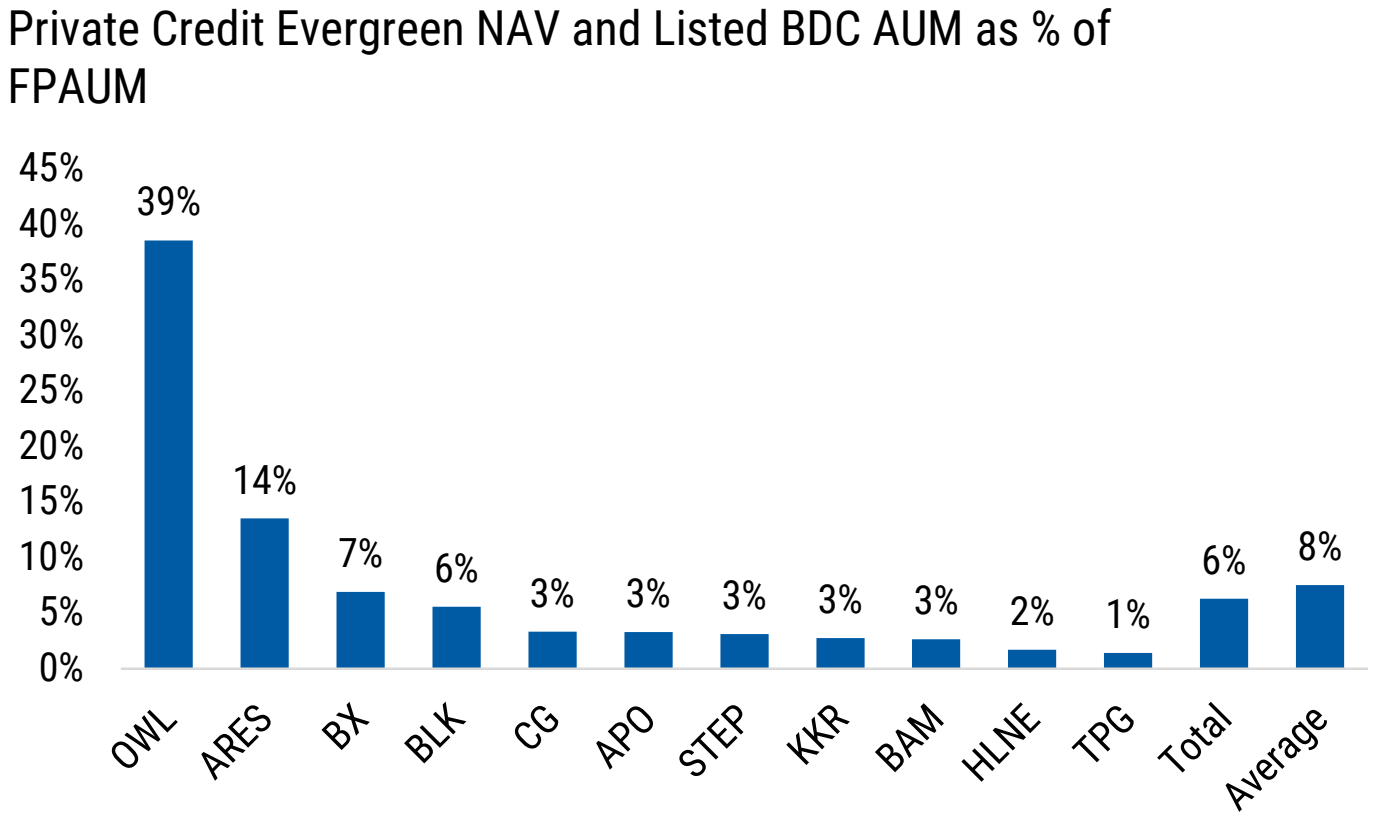
Exhibit 44: Summary of democratized / listed permanent capital vehicles across select managers

	Democratized Evergreen Products NAV ($b)						Listed Permanent Capital Vehicles AUM ($b)					Evergreen & Listed Permanent Capital		Memo: Credit	
Ticker	PE	Infra	Private Credit	Real Estate	Total	NAV as % of Firmwide FPAUM	Listed BDCs	Listed (Mortgage) REITs	Listed Other (e.g. MLPs)	Total	AUM as % of Firmwide FPAUM	Total	Total as % of Firmwide FPAUM	Private Credit Total	% of FPAUM
APO	6	2	20	5	33	5%	3			3	0%	36	5%	23	3%
ARES	6	2	23	8	39	10%	30	2		31	8%	70	18%	52	14%
BX	19	4	49	55	127	14%	15	20		35	4%	162	18%	64	7%
BAM	1	5	5	1	12	2%	11		62	73	12%	85	14%	16	3%
CG	6		9		15	4%	3			3	1%	17	5%	11	3%
KKR	18	12	4	1	35	6%	13	14	4	31	5%	66	11%	17	3%
TPG	1		2		4	2%				0	0%	4	2%	2	1%
OWL			36	8	44	24%	36		2	38	20%	82	44%	72	39%
BLK	0		2		2	0%	28			28	5%	30	6%	30	6%
HLNE	12	0	1		14	17%					0%	14	17%	1	2%
STEP	12	1	4		18	14%					0%	18	14%	4	3%
Total	**82**	**27**	**155**	**79**	**342**	**7%**	**138**	**36**	**68**	**241**	**5%**	**583**	**13%**	**293**	**6%**
Average						**9%**					**5%**		**14%**		**8%**

Source: Morgan Stanley Research estimates, Company data

Within this ~$600 billion democratized product set, we see **Private Credit evergreen funds and listed BDCs at ~$300 billion, representing ~8% of alt asset manager fee-paying AUM on average. We expect redemptions from semi-liquid credit funds to persist in the coming qtrs given headline risk and broad investor sentiment that's negative toward private credit.** Among our coverage, we see ARES with highest skew toward private credit retail vehicles at 14% followed by BX at 7%, while TPG and HLNE have the least at 1-2% of fee-paying AUM.

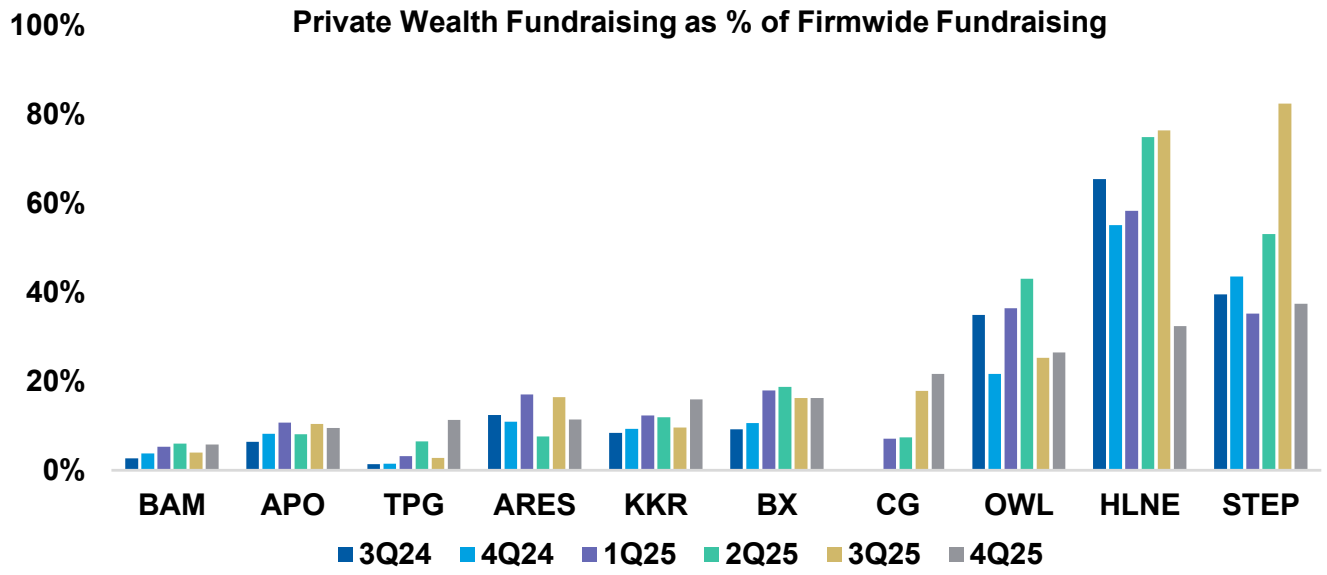
Exhibit 45: Private credit evergreen NAV and listed BDC AUM as % of fpaum



Source: Company data, Morgan Stanley Research

Private wealth flows are a focus for investors because the channel's expanding contribution to overall asset gathering. Given the pick-up in the redemptions in private credit vehicles, investors are concerned that fears in private credit could spread to other strategies/end markets (e.g., secondaries, infrastructure) and lead to weaker growth prospects. We now see the stocks pricing in limited growth prospects from the private wealth channel. Among our coverage, private wealth is relatively more meaningful growth contributor at HLNE and STEP, and the least at BAM and APO, while middle of the pack for BX (despite significantly more aggregate dollars raised by BX). **As redemptions in non-traded credit vehicles have accelerated, we note that wealth fundraising elsewhere is an important metric to monitor, especially as money that flows out of private credit could flow into other pockets within the alts including infra, PE, and secondaries.** Those with broad product offerings in the wealth channel are best poised to offset redemptions in private credit with potential inflows elsewhere.

Exhibit 46: STEP and HLNE have the highest proportion of their capital coming from the private wealth channel



Source: Company data. Morgan Stanley Research

3) Redemption limits a feature, not a bug.

Many evergreen credit funds have gated redemptions with a 58% fulfillment rate of requested redemptions on average in 1Q26. In other words, **these managers are not meeting the elevated redemption requests in full from investors, but rather are permitting redemptions up to the 5% quarterly liquidity threshold on a pro rata basis.** While headlines might paint these liquidity gates in a negative light, we view the redemption limits as a key feature of these funds that protect investors while still paying distributions and avoiding fire sale of assets. Asset/liability matching and loan portfolios with 5+ year durations also ensure that investors are able to get their requested liquidity back over time without the need for forced asset sales, to the extent vehicles are well managed. Additionally, highly diversified portfolios (average position size is 0.2%) with low LTV levels in the ~40% zone and high skew toward senior secured loans that hold priority for repayment and are backed by collateral give us confidence that they can navigate the path ahead despite negative sentiment.

Exhibit 47: High skew toward senior secured debt as well as ~40% LTV offer ample downside protection

Fund	% Senior Secured	Software Exposure	LTV	# of Positions	Avg Position Size	Max Position Size
ARES ASIF	84%	21%	38%	854	0.1%	0.9%
APO ADS	100%	12%	40%	406	n.d.	2.4%
BLK HLEND	96%	18%	40%	380	0.4%	1.9%
TPG TCAP	100%	3%	40%	266	n.d.	1.5%
OWL OCIC	93%	12%	40%	354	n.d.	1.6%
BX BCRED	95%	26%	46%	700	0.3%	1.9%
Average	**95%**	**15%**	**41%**	**432**	**0.2%**	**0.2%**

Source: Company Data, Morgan Stanley Research, Note: for ARES, top 10 positions represent 8.6% of the portfolio, so assume max position size of 0.86%

4) Impact of gating will hinge on investor education and investment performance

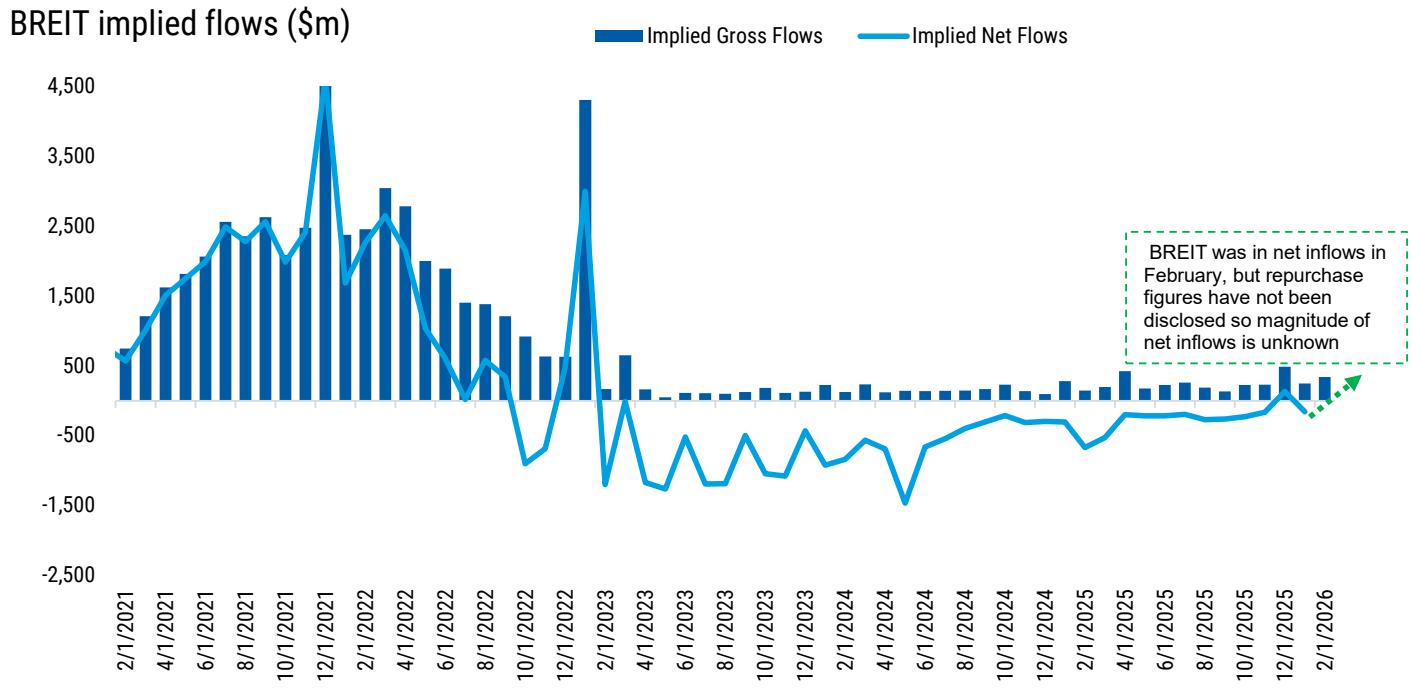
The recent wave of redemption gating across certain private credit funds underscores the critical importance of investor education, particularly as retail and high-net-worth investors gain broader access to historically institutional asset classes. Private credit strategies often involve inherently illiquid underlying assets, and while gating mechanisms are standard risk management tools, they can be misunderstood or underappreciated. As a result, it is critical that the alt asset managers and distributors focus on investor education and clear communication around liquidity terms, potential fund gates, and downside scenarios. This should be paired with a focus on product suitability frameworks, ensuring that allocations to semi-liquid or illiquid vehicles are aligned with investors' time horizons and risk tolerance. Proactive engagement through advisors, digital tools, and simplified materials can ensure investors fully understand what they own and the conditions under which liquidity may be constrained. Importantly, gating provisions are well disclosed in offering documents and Alt mgrs have built out large sales forces employing hundreds of professionals to provide advisor and investor education about these products and their role within portfolios. Notably, credit is part of a client's allocation and these vehicles have interim liquidity that's not guaranteed. Softer sales and heightened redemptions should likely abate if a few quarters pass with no change to stable metrics.

BREIT — A Case Study on the Importance of Gates

The current state of elevated redemptions in non-traded BDCs is somewhat similar what BREIT and other non-traded REITs experienced a few years ago. During COVID's zero interest rate environment, retail investors poured capital into the non-traded REIT space in search of attractive income (mid-single digit current coupon) and even higher total returns inclusive of capital appreciation. However, in late 2022, investors began requesting large withdrawals from BREIT and other non-traded REITs as higher interest rates and financing costs created skepticism around private real estate valuations and returns. Once redemptions exceeded the 5% quarterly limitation threshold, BX began prorating withdrawals from November 2022 onward and capping redemptions at 5% per quarter. **The gates created a more controlled environment in which BREIT could strategically sell assets and manage cash flows in order to meet withdrawals on a pro rata basis.**

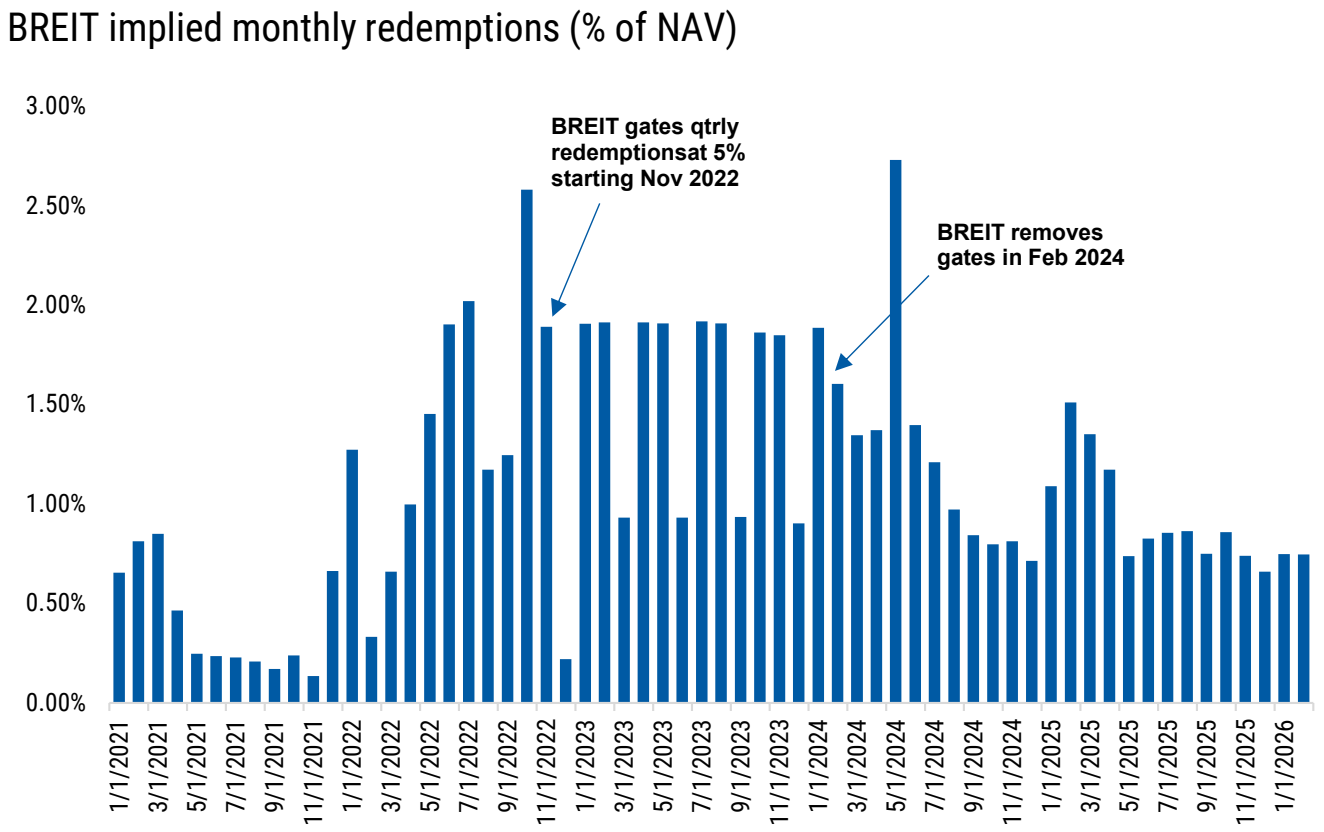
This created a queue of redemption requests with more than $15 billion returned before the fund was again able to meet 100% of requests in early 2024, suggesting these episodes can last until the backlog of motivated sellers is largely cleared. Eventual stabilization was driven by peaking interest rates and negative sentiment subsiding supported by continued strong performance at BREIT. **We see this as a key example of why gating mechanisms are critical for funds that invest in private assets in order to manage through and avoid large fire sale of assets at inopportune times.** Most recently, BREIT had its best month for investor flows in years, with net inflows in February 2026, representing the first monthly net inflow since 2022.

Exhibit 48: BREIT Implied Gross Flows



Source: Company Data, Morgan Stanley Research Estimates, Note: Large Gross Inflows in January 2023 is related to UC Investments' Strategic Venture with BX to invest $4b in BREIT Common Shares, BREIT was in net inflows in February, but repurchase figures have not been disclosed so magnitude of net inflows is unknown

Exhibit 49: BREIT implied monthly redemptions



Source: Company Data, Morgan Stanley Research Estimates

5) Rotation, not an Exodus… in the context of very low retail/private wealth investor allocations that could rise over time (if the industry performs)

Private Wealth flows remain strong outside of Private Credit: KKR noted K-Series private wealth flows of $3.9b in 1Q26 with improving momentum into March (largely PE and Infra driven), representing modest y/y growth and modest deceleration from the prior quarter. BX's BREIT gross flows are trending better vs a year ago, but modestly below 4Q25's levels while BXPE's March gross flows were a monthly record and BXINFRA saw their highest monthly flows in a year. Typically, when investors sell out of semi-liquid or intermittent liquidity products, that cash is more often than not redeployed elsewhere in alts as opposed to pulled out entirely. **As a result, we would expect to see demand strength across: 1) infrastructure** that's benefiting from significant secular tailwinds including substantial long-term capital needs tied to digital infrastructure; **2) private equity and secondaries** that are seeing increased investor interest, including newer solutions such as private credit secondaries; and **3) tax-aware strategies** that are gaining traction as investors seek more efficient portfolio construction. This shift in demand is not dissimilar to the reallocation of flows that we saw during times of real estate concern where private credit and other end markets were a beneficiary.

Exhibit 50: Key Retail Fund Flows QTD

	Jan '26	Feb '26	Mar '26	1Q25	4Q25	1Q26 TD Flows
KPEC	324	265	404	1,205	968	993
KINFRA	256	209	275	664	816	740
All K-SERIES	**1,200**	**1,300**	**1,400**	**3,770**	**4,500**	**3,900**
BREIT	251	343	n.a.	633	947	593
BCRED	830	626	n.a.	3,327	3,335	1,455
BXPE	488	504	753	990	1,666	1,744
BXINFRA	197	197	260	1,421	687	655
BX Aggregate	**1,765**	**1,669**	**n.a.**	**6,370**	**6,634**	**4,447**
HLNE-PAF	113	n.a.	n.a.	397	445	113
HLNE-PIF	n.a.	10	n.a.	14	16	10
HLNE Aggregate	**113**	**10**	**n.a.**	**411**	**461**	**123**
STEP-SPRING	**n.a.**	**400**	**n.a.**	**495**	**500**	**n.a.**
STEP Aggregate	**700**	**725**	**n.a.**	**1,200**	**2,200**	**1,425**
Overall Avg	**351**	**308**	**n.a.**	**1,095**	**1,231**	**859**

Source: Company Data, Morgan Stanley Research

Private wealth allocations could still rise meaningfully

We continue to see scope for private wealth allocations to rise meaningfully, with ample white space and wealth client allocations that remain quite low, in the low to mid-single digits, in the context of investment committees that recommend upwards of ~25% allocation to privates. Wealth platforms are increasingly focused on **1) simplified access via model portfolios and "single-ticket" diversified solutions** that can help simplify the fund selection, allocation, and sizing decisions for advisors, **2) expanded product breadth** across asset classes and strategies, and **3) improved advisor tools and education,** particularly as alternatives become more integrated into model-driven portfolios. We continue to see areas of white space that can be filled, including VC, asset backed, as well as tax-efficient solutions. Additionally, we see opportunities around: **1) expected 401(k) regulatory changes, 2) open architecture funds, and 3) potential for tokenization and distributed ledger technologies to make operations more efficient.**

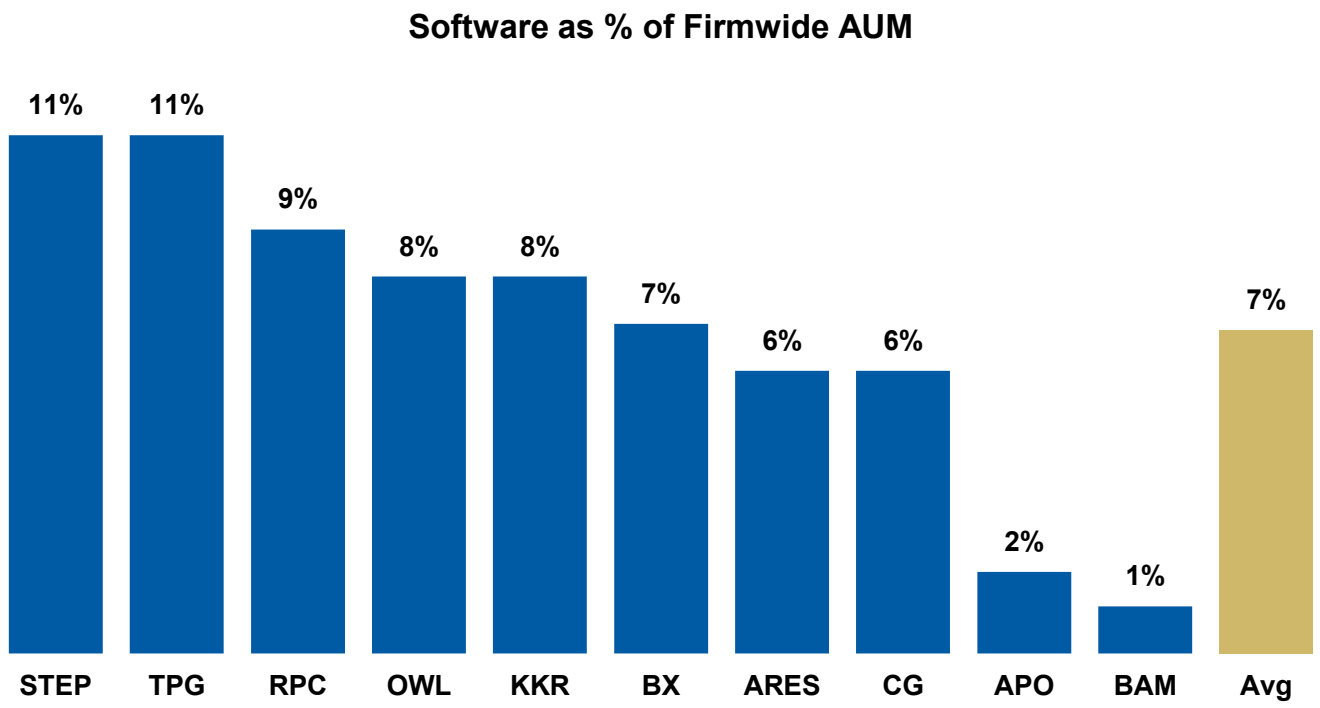
Appendix

Sizing Software Exposure Firmwide

Given the markets' focus on software and concerns around AI disruption risk to portfolio values, we size software exposure at ~7% of AUM across our coverage. Software exposure varies across our coverage group, and is concentrated within certain asset classes or funds. At the high end, we see **TPG** and **STEP** both note roughly 11% firmwide software exposure, but importantly frame that as concentrated in private equity and venture with TPG citing only ~2% exposure in credit AUM but 18% in private equity. STEP has also noted that their exposure falls to ~7% excluding venture, with no exposure in real estate or infrastructure and only moderate exposure in private credit. BX commentary highlights structural downside protection through senior positioning, low starting LTVs, and a focus on larger, deeply embedded, high-retention businesses. RPC characterizes its software / SaaS exposure as modest across the regular-way portfolio, with less than 10% overall exposure and more meaningful participation largely confined to venture. **APO and BAM sit at the lower end of the spectrum with just 2% and 1% exposure to software, respectively.** Taken together, the commentary supports the view

that the software exposure varies — for most peers, software is a contained and strategy-specific sleeve rather than a broad-based driver of portfolio risk.

Exhibit 51: Software as % of firmwide AUM



Source: Company data, Morgan Stanley Research

Exhibit 52: Software commentary

Company	Software Commentary
APO	• APO has no exposure to software in their PE business, less than 0.5% on the Athene balance sheet, and less than 4% in credit ex-Athene • Aggregate software exposureis ~low double digit % of total direct lending portfolio with negligible PIK and IRR exposure • Vintage risk is also limited, with a negligible amount of software exposure in pre-2021-2022 vintages
BAM	• **Software exposure across the organization is "very minimal"**, reflecting its focus on long-term contracted real assets rather than technology risk. • **<1% of the private equity portfolio is invested in software businesses.** • **BAM's credit strategies are concentrated in infrastructure, real estate credit, real-asset lending and asset-backed finance,** with no software exposure in those areas. • **Opportunistic credit strategies have very little software exposure**, while performing credit strategies are significantly underweight software relative to indices. • **Mgmt emphasized AI-driven disruption is a strong net positive for BAM** due to its scale in digital infrastructure and power, reinforcing rather than impairing earnings outlook.
HLNE	• **HLNE does not have concentration across portfolios in software**, given its diversified co-investment, secondary, and fund-of-funds style exposure rather than single-asset ownership. • **Management said software exposure is "not a topic…that we see as at all of an issue"** for either HLNE or its clients. • HLNE highlighted the **possibility of M&A between "new tech" and legacy software providers,** where incumbents retain customer relationships that AI-native firms may lack. • Mgmt acknowledged that **some software businesses acquired pre-COVID at high valuations may struggle, but noted many software companies continue to grow and add customers**.
ARES	• **Software investments represent ~6% of total AUM and <9% of private credit AUM** (inclusive of real asset lending; excluding liquid credit) and **12% of direct lending** credit strategies. • **Exposure is nearly all senior secured loans**, with private equity sponsors in the first-loss position. • **Software loans are underwritten at lower LTVs** (high-30% range) versus mid-40% LTVs for the rest of the portfolio. • ARR-based loans <1% of global direct lending exposure; **software non-accruals are close to zero.** • **ARES typically passes on 95-97% of deals and imagine similar selectivity in software** • **As a balance-sheet-light manager, Ares has negligible look-through software exposure on its own balance sheet;** any credit losses would have limited impact on management fees and earnings. • Mgmt notes that for every company that is disrupted by AI, there is likely a company getting improved with expanding margins, expanding productivity. and ability to invest in growth in new ways. Mgmt also notes that "software" is a misnomer, and people should generally be thinking about technology transformation and AI disruption and how it could impact other sectors like healthcare / tech as well that could see AI risk or opportunity. • Mgmt feels the market is too narrowly defining the set of issues.
CG	• Software is ~6% of total AUM broadly defined • On the CLO side, exposure is roughly in line with the index and recent volatility is not expected to affect CG's CLOs • Mgmt reiterated that softwaere is "not a piston in the engine" of CG's strategy, and notes that software has never beein a big driver for CG vs other areas like aerospace & defense, healthcare, and industrials
BX	• Software represents 7% of total AUM, and 10% of the credit platform across the firm. • Mgmt notes that BX is protected given where they sit in the capital structure and also given the nature of the portfolio. **Average LTV at set up was less than 40%, which implies that the original purchase price of an asset would need to be impaired by over 60% before BX's position is impaired at all.** • BX focuses on larger companies, with avg TEV of software holdings at over $4b with high single digits y/y rev growth and low double digit EBITDA growth on avg for the most recent reporting period. • If you apply YTD decline in software index of ~20% to BX's $4b+ avg TEV, LTV would still be sub 50%. If public software comps have traded down from 17x to 14x EBITDA, BX's net levg multiple is still less than half of that. • BX is focucsed on deeply embedded, high-retention businesses where switching costs are high. BX has been one of the largest investors in the AI ecosystem and the infrastructure around it (data centers, power, electrification) and has invested in the picks and shovels of AI as well as direct investments in AI leaders and application companies that sit on top.
KKR	• **Software exposure is ~7% of AUM**, using a "highly inclusive" definition, which management emphasized is **well below industry peers and public equity and credit indices, and KKR's PE business had 15% exposure to software. Within strategic holdings, ~12% of EBITDA is exposed to software.** • **AI-driven disruption risk has been a focus for several years,** not a new concern prompted by recent market volatility • **Not all software assets are the same,** citing a recent portfolio company exit at a ~30% premium and ~4.5x MOIC as evidence of selective, high-quality exposure • **KKR noted that its $118bn of dry powder materially exceeds any areas of AI-related concern,** positioning the firm to capitalize on volatility rather than be constrained by it • Mgmt notes that KKR did not meaningfully participate in the heavy transactions in 2021-22 where businesses were valued at 8-10x+ revenue.
OWL (not covered)	• Mgmt notes **software loans represent ~8% of total AUM**, underscoring that exposure is manageable and diversified. • There has been no material change in non-accruals, amendments, or credit metrics tied to software exposure; **overall net realized loss rates remain very low (around 8 bps).** • OWL stressed that as a first-lien lender, **material losses would require an extreme and implausible destruction (~70%) of enterprise value across software borrowers**, which management views as inconsistent with current fundamentals. • **Software and tech lending portfolios are characterized as the most pristine within OWL's broader credit book,** supported by low leverage and large equity cushions (average ~30% LTV). • OWL emphasized that its **software exposure is not concentrated in vulnerable application-layer software**, but instead focused on companies with deep integration, data moats, regulatory complexity, and mission-critical business processes (e.g., healthcare, financial services).
RPC (formerly PX)	• Across PX's regular-way parts of the portfolio that are not designed to be orieted in a specific way, AI exposure is modest to SaaS and software. **Across the portfolio generally, PX has less than 10% exposure.** • Across their venture portfolio, PX is leaning in and actively investing into AI and other economic trends that mgmt sees as long-term positives for the economy and investors - so have meaningful exposure via the venture portfolio to AI. Investments have and continue to go exceedingly well. • Exposure at Stellus at acquisition was less than 8% • Mgmt notes that PX's software and SaaS exposure is not in large cap names that have been mentioned in recent press - PX focuses on business enablement companies that are focused on advancing traditional industrial businesses int he middle and lower middle market. • Mgmt engages in a regular and rigorous review ot he portfoolio and feel good about current positioning.
TPG	• **Software is 11% of total AUM**, majority in PE and minimum exposure in credit • In the direct lending business, TPG focused on sponsor-backed companies with strong cash flow profiles and lend at the top of the capital structure, so TPG is not heavily invested in the software sector. **Software makes up ~2% of credit AUM** • **Software is 18% of PE AUM,** but TPG has a longstanding presence that gives them a deep expertise and nuanced perspective; **investing in software companies where AI is an opportunity (systems of record software, vertical software with data moats, cybersecurity, etc).**
STEP	• **Across the entire firm, STEP estimates ~11% of total AUM is invested in software.** Excluding venture, software exposure declines to ~7% of total AUM. • **Real estate and infra strategies have no software exposure**, **private credit has moderate exposure (software exposure in private credit evergreen funds is mid-to-high single digits**), and **PE and venture are the primary sources of software exposure** across the firm which we infer low 20s% exposure in PE/VC based on above disclosure. • Mgmt emphasized diversification as the primary mitigant to software and AI-related disruption risk, highlighting its multi-manager, multi-asset-class portfolio construction. • Not all software companies are created equal, differentiating between vulnerable SaaS models and software with vertical specialization, proprietary data, or strong AI strategies. • **Within venture (including SPRING), STEP has tilted exposure toward AI-beneficiaries such as pure-play AI, AI infrastructure, specialized vertical software, cybersecurity, defense tech, and physical AI** • **Mgmt noted that venture software exposure should not be viewed as a bet on "legacy" or generic SaaS, pointing to SPRING's 39% performance despite public cloud software indices being down sharply.**
Industry*	• Private Equity Industry exposure to IT Services broadly is ~27% of activity past 5-yrs, while Software specifically just over 20% across Buyout (bit higher in large/global buyout at ~24% and lower in small/mid market ~13%), while higher in Venture. • Private Credit Direct Lending exposure to Software likely similar to the exposure in Buyout PE, with greater exposure in the larger end of the market. Notably, asset-based finance, private IG/fixed income replacement likely has much lower exposure to software, particualrly given some of the end makrets are unrelated to software; eg aircraft leasing, litigation finance, CRE lending, etc.

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Apollo Global Management Inc (APO.N)

We value APO using a sum-of-the-parts, and back into implied 16x target multiple on 2027e EPS. Sum-of-the-parts reflects a 29x multiple on after-tax core fee related earnings, 8x on insurance earnings, and 8x on carry balance.

Risks to Upside

- Faster traction in private wealth channel
- Strategic actions accelerate growth
- Better appreciation of Apollo/Athene combined earnings power

Risks to Downside

- Concerns around b/s exposure and potential credit cycle
- Slower deployment; poor investment performance
- Challenging capital markets backdrop from higher rates delays exits & strategic/deal-driven asset flows
- Regulatory & balance sheet risk from ATH ownership

Brookfield Corporation (BN.N)

We value BN using a 15.4x multiple on '27 EPS, which reflects a conservative ~5x discount to the broader alts group on '27 P/E given more capital intensive business and in-line with closest peers KKR and APO. Valuation backed by a sum-of-the-parts approach which values each of BN's underlying businesses.

Risks to Upside

- Faster fundraising and FRE growth at BAM
- Capital markets recovery boosts realizations and sell-down of real estate
- Insurance business scales faster than expected driven by strong secular tailwinds

Risks to Downside

- Slower fundraising, less scaling of funds, and slower FRE growth at BAM
- Challenging macro backdrop leads to muted realizations, and pressure real estate book
- Insurance business takes longer to scale

Blackstone Inc. (BX.N)

Based on 25x P/E on 2027 EPS. Target multiple reflects where mature, management fee heavy peers trade on 2027e P/E, which we think is warranted given the positive outlook for a mix shift towards FRE and expectation for sustained, above trend growth in the long run.

Risks to Upside

- Faster and larger than expected fundraising for flagship and newer strategies
- Growth in FRE from fee activation of newly raised funds and perpetual capital vehicles
- Improved macro with rate cuts

Risks to Downside

- Rates-induced market volatility that hurts portfolio marks, delays perf fees recognition and curtails deployment
- Regulatory risk: increased political and regulatory scrutiny of private equity business model

KKR & CO. Inc (KKR.N)

We value KKR using a 21.0x multiple on '27 EPS, which implies a premium to historical given more diversified business mix and an attractive growth outlook driven in part by capital markets recovery.

Risks to Upside

- Faster deployment with greater opportunity set
- Accelerated portfolio exit activity
- Stronger fundraising boosted by seeding of new strategies and retail initiatives
- Large Insurance M&A

Risks to Downside

- Worse than expected restrictive trade policies could induce a recession, credit cycle, leading to weaker returns, balance sheet mark downs & pressure earnings
- Increased political and regulatory scrutiny

Disclosure Section

Mortgage Backed Securities (MBS) and Collateralized Mortgage Obligations (CMO)

Principal is returned on a monthly basis over the life of the security. Principal prepayment can significantly affect the monthly income stream and the maturity of any type of MBS, including standard MBS, CMOs and Lottery Bonds. Yields and average lives are estimated based on prepayment assumptions and are subject to change based on actual prepayment of the mortgages in the underlying pools. The level of predictability of an MBS/CMO's average life, and its market price, depends on the type of MBS/CMO class purchased and interest rate movements. In general, as interest rates fall, prepayment speeds are likely to increase, thus shortening the MBS/CMO's average life and likely causing its market price to rise. Conversely, as interest rates rise, prepayment speeds are likely to decrease, thus lengthening average life and likely causing the MBS/CMO's market price to fall. Some MBS/CMOs may have "original issue discount" (OID). OID occurs if the MBS/CMO's original issue price is below its stated redemption price at maturity, and results in "imputed interest" that must be reported annually for tax purposes, resulting in a tax liability even though interest was not received. Investors are urged to consult their tax advisors for more information. Government agency backing applies only to the face value of the CMO and not to any premium paid.

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Eva C Baurmeister; Michael J. Cyprys, CFA, CPA; Manan Gosalia; Joyce Jiang; Vishwas Patkar; Vishwanath Tirupattur; Brian Wilczynski, CFA.

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As of February 27, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Acadian Asset Management Inc., Ally Financial Inc, American Express Company, Ameriprise Financial, Inc., Apollo Global Management Inc, Ares Management Corp, Atlantic Union Bankshares, Bank of America, Bank Ozk, BlackRock Inc., Blackstone Inc., BNY Mellon, Bread Financial Holdings, Inc., Capital One Financial Corporation, Carlyle Group Inc, CBOE Global Markets Inc., Charles Schwab Corp, Citigroup Inc., Citizens Financial Group, Inc, CME Group Inc., Commerce Bancshares Inc, Cullen/Frost Bankers, Customers Bancorp Inc, East West Bancorp, Inc., Fifth Third Bancorp, Flagstar Bank, N.A, Franklin Resources Inc., Gemini Space Station, Inc, Goldman Sachs Group Inc, Hamilton Lane Inc., Huntington Bancshares, Intercontinental Exchange Inc, Invesco, Janus Henderson Group, JPMorgan Chase & Co, KeyCorp, KKR & CO. Inc, LPL Financial Holdings Inc., M&T Bank Corp., MarketAxess Holdings Inc., Merchants Bancorp, Miami International Holdings Inc, Nasdaq, Inc., Navient Corp, Northern Trust Corp., PNC Financial Services, Prosperity Bancshares Inc, Raymond James Financial Inc., Regions Financial Corp, Robinhood Markets, Inc., Rocket Cos Inc, Simmons First National Corp, SLM Corp, SoFi Technologies, Inc., State Street Corporation, StepStone Group, Synchrony Financial, T. Rowe Price Group, Inc., TPG, Inc., Tradeweb Markets Inc, Truist Financial Corp, U.S. Bancorp, UMB Financial Corp, UWM Holdings Corp, Valley National Bancorp, Virtu Financial Inc, Virtus Investment Partners Inc, Webster Financial Corp, Wells Fargo & Co., WisdomTree Inc., Zions Bancorporation NA.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Ally Financial Inc, American Express Company, Apollo Global Management Inc, Ares Management Corp, Bank of America, BlackRock Inc., Blackstone Inc., BNY Mellon, Bread Financial Holdings, Inc., Brookfield Asset Management Ltd., Brookfield Corporation, Capital One Financial Corporation, Carlyle Group Inc, Central Bancompany, Charles Schwab Corp, Citigroup Inc., Citizens Financial Group, Inc, Customers Bancorp Inc, Fifth Third Bancorp, Gemini Space Station, Inc, Goldman Sachs Group Inc, Invesco, LPL Financial Holdings Inc., M&T Bank Corp., Miami International Holdings Inc, Northern Trust Corp., PNC Financial Services, Rocket Cos Inc, Simmons First National Corp, State Street Corporation, TPG, Inc., Truist Financial Corp, U.S. Bancorp, Virtus Investment Partners Inc, Webster Financial Corp, Wells Fargo & Co., Zions Bancorporation NA.

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Corporation, Synchrony Financial, T. Rowe Price Group, Inc., TPG, Inc., Truist Financial Corp, U.S. Bancorp, Victory Capital Holdings Inc, Virtus Investment Partners Inc, Webster Financial Corp, Zions Bancorporation NA.

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Global Stock Ratings Distribution

(as of March 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

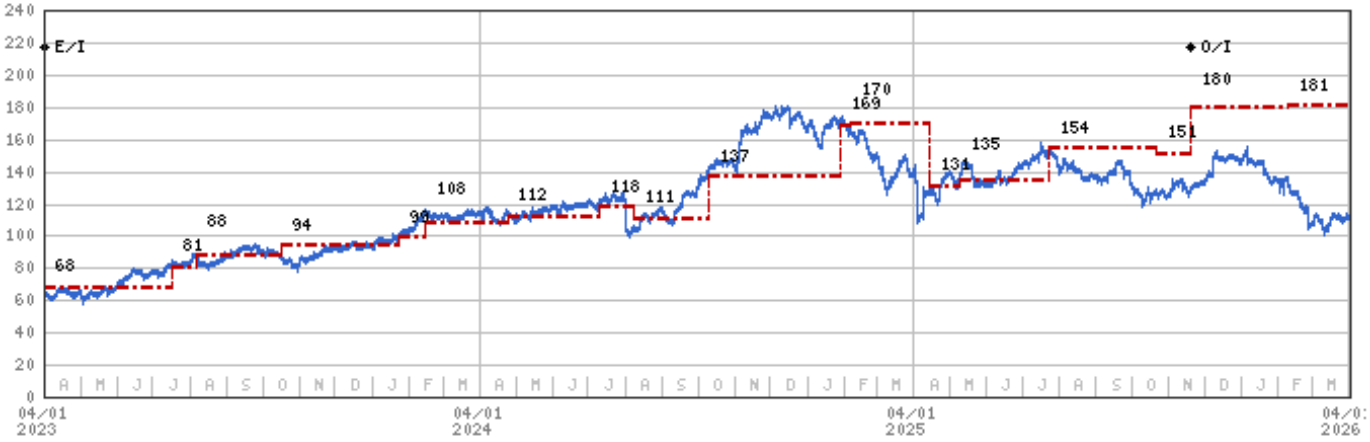
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Apollo Global Management Inc (APO.N) - As of 04/02/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 4/1/21 : O/I; 7/19/22 : E/I; 11/20/25 : O/I

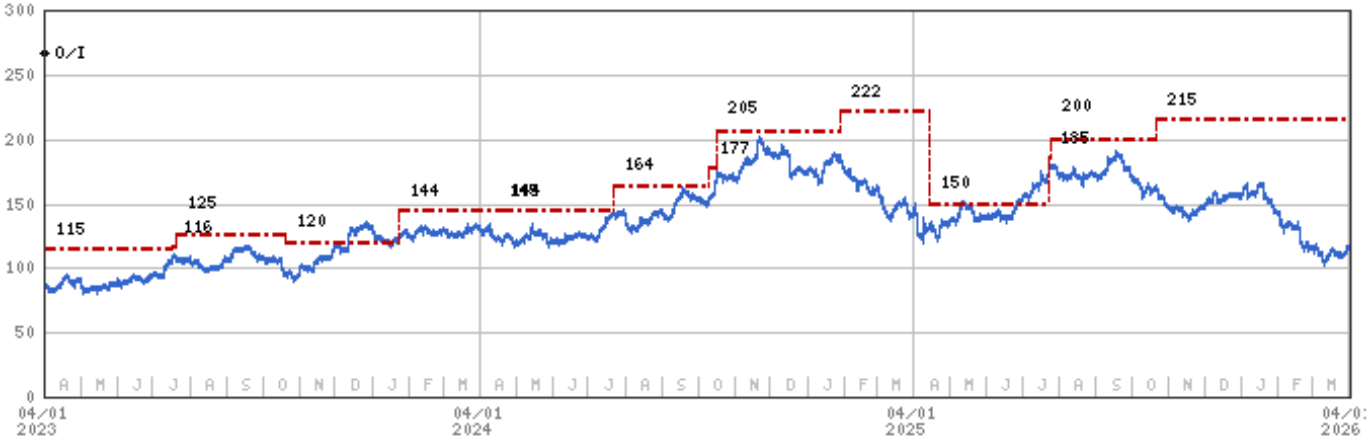
Price Target History: 2/8/21 : 62; 5/5/21 : 64; 7/20/21 : 70; 8/6/21 : 73; 10/15/21 : 79; 11/3/21 : 90; 1/21/22 : 88; 4/20/22 : 81; 7/19/22 : 60; 8/15/22 : 61; 10/18/22 : 57; 11/3/22 : 60; 1/24/23 : 69; 2/13/23 : 68; 7/18/23 : 81; 8/7/23 : 88; 10/18/23 : 94; 1/24/24 : 99; 2/15/24 : 108; 4/24/24 : 112; 7/11/24 : 118; 8/8/24 : 111; 10/10/24 : 137; 1/29/25 : 169; 2/7/25 : 170; 4/14/25 : 131; 5/9/25 : 135; 7/23/25 : 154; 10/21/25 : 151; 11/20/25 : 180; 2/10/26 : 181

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Blackstone Inc. (BX.N) - As of 04/02/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 4/1/21 : O/I

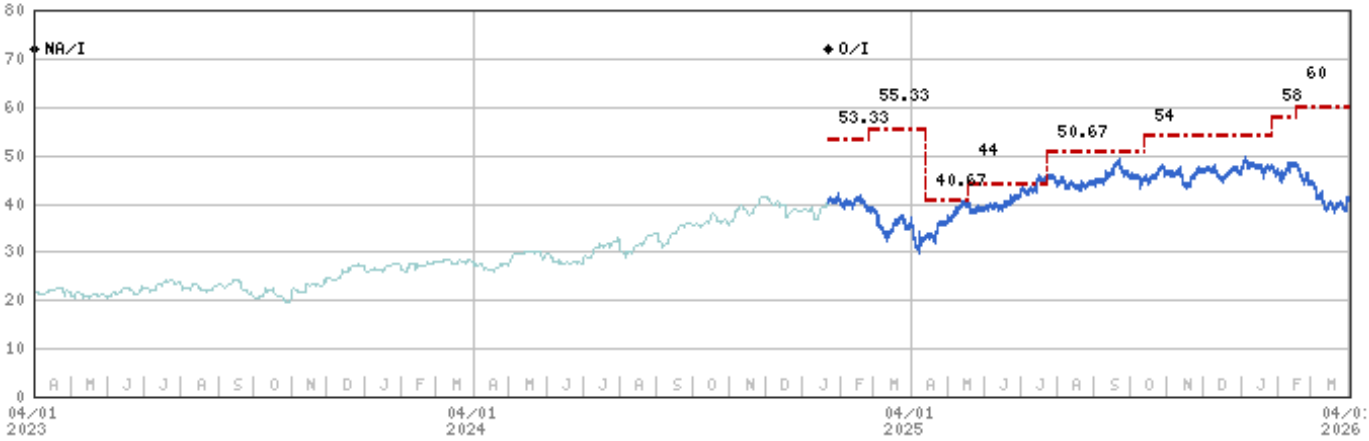
Price Target History: 3/16/21 : 90; 4/23/21 : 98; 7/20/21 : 121; 7/23/21 : 124; 10/15/21 : 134; 10/25/21 : 180; 1/21/22 : 165; 1/28/22 : 166; 4/20/22 : 154; 7/19/22 : 125; 7/26/22 : 121; 10/18/22 : 115; 10/21/22 : 113; 1/24/23 : 110; 1/30/23 : 115; 7/18/23 : 116; 7/21/23 : 125; 10/20/23 : 120; 1/24/24 : 144; 4/17/24 : 145; 4/19/24 : 144; 7/23/24 : 164; 10/10/24 : 177; 10/18/24 : 205; 1/29/25 : 222; 4/14/25 : 150; 7/23/25 : 185; 7/25/25 : 200; 10/21/25 : 215

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Brookfield Corporation (BN.N) - As of 04/02/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 4/1/21 : NA/I; 1/23/25 : O/I

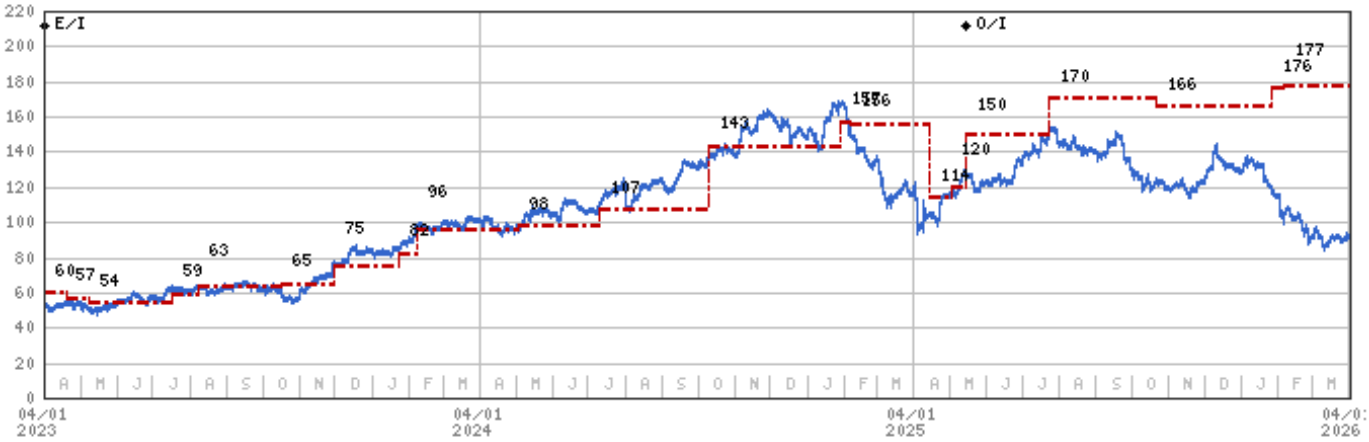
Price Target History: 1/23/25 : 53.33; 2/25/25 : 55.33; 4/14/25 : 40.67; 5/19/25 : 44; 7/23/25 : 50.67; 10/13/25 : 54; 1/27/26 : 58; 2/16/26 : 60

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

KKR & CO. Inc (KKR.N) - As of 04/02/26 GMT in USD
Industry : Brokers, Asset Managers & Exchanges



Stock Rating History: 4/1/21 : E/I; 5/14/25 : O/I

Price Target History: 1/26/21 : 43; 4/16/21 : 60; 5/10/21 : 64; 7/20/21 : 66; 8/9/21 : 70; 10/15/21 : 72; 11/8/21 : 90; 1/21/22 : 83; 2/10/22 : 78; 4/20/22 : 71; 5/9/22 : 72; 7/19/22 : 60; 10/18/22 : 56; 2/8/23 : 60; 4/19/23 : 57; 5/9/23 : 54; 7/18/23 : 59; 8/8/23 : 63; 10/18/23 : 65; 11/30/23 : 75; 1/24/24 : 82; 2/9/24 : 96; 5/3/24 : 98; 7/11/24 : 107; 10/10/24 : 143; 1/29/25 : 157; 2/6/25 : 156; 4/14/25 : 114; 5/2/25 : 120; 5/14/25 : 150; 7/23/25 : 170; 10/21/25 : 166; 1/27/26 : 176; 2/6/26 : 177

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Large Cap Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/01/2026)
Manan Gosalia		
Bank of America (BAC.N)	O (04/07/2025)	$49.27
BNY Mellon (BK.N)	E (02/17/2026)	$120.97
Citigroup Inc. (C.N)	O (01/30/2024)	$115.30
Goldman Sachs Group Inc (GS.N)	E (04/07/2025)	$860.21
JPMorgan Chase & Co (JPM.N)	E (09/30/2024)	$295.38
Northern Trust Corp. (NTRS.O)	U (04/07/2025)	$141.41
PNC Financial Services (PNC.N)	E (02/17/2026)	$209.24
Regions Financial Corp (RF.N)	E (12/09/2024)	$26.34
State Street Corporation (STT.N)	O (12/09/2024)	$128.25
Truist Financial Corp (TFC.N)	O (02/17/2026)	$46.71
U.S. Bancorp (USB.N)	E (09/28/2025)	$52.75
Wells Fargo & Co. (WFC.N)	E (09/28/2025)	$80.57

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Brokers, Asset Managers & Exchanges

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/01/2026)
Michael J. Cyprys, CFA, CPA		
Acadian Asset Management Inc. (AAMI.N)	E (04/07/2025)	$56.20
Ameriprise Financial, Inc. (AMP.N)	U (07/15/2025)	$436.67
Apollo Global Management Inc (APO.N)	O (11/20/2025)	$110.25
Ares Management Corp (ARES.N)	E (09/10/2021)	$105.80
BlackRock Inc. (BLK.N)	O (09/18/2015)	$957.40
Blackstone Inc. (BX.N)	O (12/15/2014)	$114.33
Brookfield Asset Management Ltd. (BAM.N)	E (01/23/2025)	$44.08
Brookfield Corporation (BN.N)	O (01/23/2025)	$40.74
Carlyle Group Inc (CG.O)	E (11/14/2018)	$47.40
CBOE Global Markets Inc. (CBOE.Z)	U (05/14/2025)	$280.29
Charles Schwab Corp (SCHW.N)	O (04/08/2025)	$92.36
CME Group Inc. (CME.O)	O (04/08/2025)	$296.94
Franklin Resources Inc. (BEN.N)	U (09/03/2020)	$23.59
Gemini Space Station, Inc (GEMI.O)	E (10/07/2025)	$4.28
Hamilton Lane Inc. (HLNE.O)	E (01/26/2021)	$97.01
Intercontinental Exchange Inc (ICE.N)	E (06/11/2021)	$158.08
Invesco (IVZ.N)	E (01/03/2018)	$24.32
Janus Henderson Group (JHG.N)	++	$51.42
KKR & CO. Inc (KKR.N)	O (05/14/2025)	$91.36
LPL Financial Holdings Inc. (LPLA.O)	O (04/09/2024)	$289.27
MarketAxess Holdings Inc. (MKTX.O)	E (11/20/2025)	$165.62
Miami International Holdings Inc (MIAX.N)	O (09/08/2025)	$39.37
Nasdaq, Inc. (NDAQ.O)	O (11/20/2025)	$85.15
Raymond James Financial Inc. (RJF.N)	E (07/21/2023)	$143.40
Ridgepost Capital INC (RPC.N)	E (03/04/2024)	$7.03
Robinhood Markets, Inc. (HOOD.O)	E (04/08/2025)	$70.11
StepStone Group (STEP.O)	E (07/19/2022)	$46.99
T. Rowe Price Group, Inc. (TROW.O)	E (10/05/2017)	$89.87
TPG, Inc. (TPG.O)	E (04/14/2025)	$38.95
Tradeweb Markets Inc (TW.O)	E (04/08/2025)	$118.56
Victory Capital Holdings Inc (VCTR.O)	++	$64.88
Virtu Financial Inc (VIRT.N)	U (04/08/2025)	$44.39
Virtus Investment Partners Inc (VRTS.N)	U (04/08/2022)	$131.12
WisdomTree Inc. (WT.N)	E (04/08/2021)	$14.47

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Midcap Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/01/2026)
Brian Wilczynski, CFA		
Atlantic Union Bankshares (AUB.N)	E (04/09/2025)	$35.99
Customers Bancorp Inc (CUBI.N)	E (12/07/2025)	$70.95
Simmons First National Corp (SFNC.O)	E (10/28/2025)	$19.46
UMB Financial Corp (UMBF.O)	O (11/21/2024)	$114.65
Manan Gosalia		
Bank Ozk (OZK.O)	E (12/05/2022)	$46.17
Central Bancompany (CBC.O)	O (12/15/2025)	$24.55
Citizens Financial Group, Inc (CFG.N)	O (09/28/2025)	$60.57
Commerce Bancshares Inc (CBSH.O)	E (04/07/2025)	$49.28
Cullen/Frost Bankers (CFR.N)	U (08/05/2024)	$138.65
East West Bancorp, Inc. (EWBC.O)	E (04/07/2025)	$109.33
Fifth Third Bancorp (FITB.O)	O (10/07/2025)	$46.82
Flagstar Bank, N.A (FLG.N)	E (12/05/2022)	$13.37
Huntington Bancshares (HBAN.O)	O (12/05/2022)	$15.88
KeyCorp (KEY.N)	E (04/07/2020)	$20.34
M&T Bank Corp. (MTB.N)	E (09/28/2025)	$208.98
Merchants Bancorp (MBIN.O)	E (09/09/2024)	$44.26
Prosperity Bancshares Inc (PB.N)	O (08/05/2024)	$67.37
Valley National Bancorp (VLY.O)	O (07/03/2025)	$12.44
Webster Financial Corp (WBS.N)	E (08/05/2024)	$70.25
Zions Bancorporation NA (ZION.O)	O (03/02/2026)	$58.26

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Consumer Finance

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/01/2026)
Jeffrey Adelson, CFA		
Ally Financial Inc (ALLY.N)	O (02/08/2024)	$39.77
American Express Company (AXP.N)	E (02/08/2024)	$301.45
Bread Financial Holdings, Inc. (BFH.N)	U (04/07/2025)	$73.57
Capital One Financial Corporation (COF.N)	O (07/09/2025)	$184.50
Navient Corp (NAVI.O)	E (12/01/2022)	$8.29
Rocket Cos Inc (RKT.N)	E (08/14/2025)	$14.43
SLM Corp (SLM.O)	E (12/09/2025)	$21.74
SoFi Technologies, Inc. (SOFI.O)	U (01/31/2024)	$15.63
Synchrony Financial (SYF.N)	E (04/07/2025)	$68.32
UWM Holdings Corp (UWMC.N)	E (09/28/2025)	$3.64

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* Historical prices are not split adjusted.

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